

Global Trends

Ayenw Birhanu (PhD)

Outline

Chapter One: International Relations

Chapter Two: understanding Foreign policy and Diplomacy

Chapter Three: International Political Economy

Chapter Four: Globalization and regionalism

Chapter Five: Major contemporary Global issues

Understanding International Relations

- ❖ relationships among the world's governments
- ❖ a range of interactions between people, groups, firms, associations, parties, nations or states or between these and (non) governmental international organizations.

Understanding ... Cont'd

- legal, political and social differences between domestic and international politics.
- **Domestic law** is generally obeyed, and if not, the police and courts enforce sanctions.
 - ✓ Domestically a government has a monopoly on the legitimate use of force.
- **International law** rests on competing legal systems, and there is no common enforcement.
 - ✓ In international politics no one has a monopoly of force, and therefore international politics has often been interpreted as the realm of self-help.

The Nature and Evolution of International Relations

- ❖ The rise of the sovereign state in medieval Europe consisted of a complicated pattern of overlapping jurisdictions and loyalties.
- ❖ Most of life was local and most political power was local too.
- ❖ In medieval Europe there were two institutions— **the Catholic Church and the Empire**.
 - ✓ The Church was the spiritual authority, with its centre in Rome.
 - ✓ Apart from a small Jewish minority, all Europeans were Christians and the influence of the Church spread far and penetrated deeply into people's lives.
 - ✓ the Church occupied a crucial role in the cultural and intellectual life of the Middle Ages.

The Nature and ... Cont'd

- As a result of this religious domination, the **Thirty Years' War, 1618–1648**, which was the bloodiest and most protracted military confrontation of the era fought among European nations
 - ✓ As a result of the war, Germany's population was reduced by around a third.
 - ✓ The Swedish troops destroyed and many of the people who did not die on the battlefield died of the epidemic.
- The Thirty Years' War is often called a religious conflict since Catholic states confronted Protestants.
 - ✓ The war was ended after thirty years by the **Westphalian Treaty**
 - ✓ The Treaty of Westphalia, 1648, which concluded the 30 years of warfare, has come to symbolize the new way of organizing international politics

The Nature and ... Cont'd

- ❖ From this point onwards, international politics was a matter of relations between states and no other political units.
 - All states were sovereign, meaning that they laid claims to the exclusive right to rule their own territories and to act, in relation to other states
 - All states were formally equal and they had the same rights and obligations
 - The states interacted with each other in a system in which there was no overarching power.
- ❖ Once these states had made themselves independent both of the pope and the emperor, they soon discovered that their relations had become vastly more complicated.
- ❖ In order to avoid misunderstandings and unnecessary conflicts, the different rulers began dispatching ambassadors to each other's countries

Actors in International Relations

- There are two types of actors: **state actors** and **non-state actors**

A. State Actors

- ❖ International Relations (IR) traditionally focused on interactions between states.
- ❖ However, this conventional view has been broadened over the years to include relationships between all sorts of political entities ('polities'), including international organizations, NGOs, multinational corporations, societies and citizens.

Actors in ... Cont'd

- States are the leading or primary actors in IR.
- The 'international' is structurally differentiated from the 'domestic' in that where the former, according to this 'realist' perspective, is defined as 'anarchical', the latter is hierarchical.
- State sovereignty comes to be the defining element in the study of international relations

Actors in ... Cont'd

B. Non-State Actors

- IGOs, NGOs and multinational corporations (MNCs) are none state actors.
- MNCs(TNCs) have headquarters in one state and operational capability in a range of others – contribute significantly to international relations.
- ❖ state remains, for many, the primary actor in international politics.

Actors in ... Cont'd

- ❖ The state as the main actor in IR has now lost its importance.
 - ✓ State borders do not seem to accurately delimitate global affairs.
 - ✓ The majority of global interactions – be they related to global finance, production, education, personal and professional travel, labor migration or terrorism – no longer occur via state channels the way they once did.
- ❖ We could say that the increased focus on non-state actors and cross-border issues has marked a close-to-revolutionary turn in IR; something that could be interpreted as a shift away from the inter-national ('between-states') to the 'trans-national' ('across/beyond-states' and their borders).

Levels of Analysis in International Relations

- ❖ Kenneth Waltz's Man, distinguishes between three levels of analysis: the system, the state and the individual- but the group level is also important to consider as a fourth

Levels of Analysis in International Relations

A. The individual level

- the very personalities, behaviors, motivations, beliefs and orientation of the individual leaders shape foreign policy
 - ✓ The most obvious example of individual level analysis is explaining WWII through Adolf Hitler's leadership; an other would be when scholars attribute the end of cold war to the relationship between president Reagan and Soviet leader Gorbachew
 - ✓ An individual level also examine the character and ideology of George W. Bush, Dick Cheney and other key players in influencing the US military action

Levels of Analysis in International Relations

B. The group level

- ❖ A group level analysis would try and break the analysis down into certain kinds of groups, how they relate to the state level and where they position themselves with respect to the global dimension of the issues they are dealing with.
- ❖ A group-level analysis focusing on foreign policy would look, for example, at the role of lobbying groups and the way they influence national decision-making on an issue.
- ❖ In this sense, a group-level analysis would be more interested in the actions of groups of individuals, such as all voters of a country and the way they express their views in the general election, political parties picking up on the issue in their campaigns or social movements forming to counter the effects of the crisis on society.

Levels of Analysis in International Relations

C. The state level

- ❖ IR scholars would generally regard states as the primary actors in IR
- ❖ This predominant focus on the state is strongly related to fact that state is the main location of power within the international sphere.
- ❖ This idea that the state is where power is primarily concentrated and located has to be seen against the historical context within which some of the most prominent IR scholars operated – the Cold War.
- ❖ It was an era in which much of international affairs appeared to be run via state channels and in line with particular state interests.

Levels of Analysis in International Relations

- ❖ A lot of today's political life remains managed in the state framework, based on issues like national security, internal stability.
- ❖ States form the primary kind of actor in major international organizations such as UN.
- ❖ States still hold the monopoly on violence – the exclusive right to the legitimate use of physical force.
- ❖ A state level analysis might be interested to look at any one of the following:
 - ✓ it may look at how states interact with each other to deal with the crisis
 - ✓ how they cooperate in the framework of international organizations

Levels of Analysis in International Relations

D. The system level

- ❖ System level analysis argues that all foreign policy can be understood without even looking at internal characteristics of nations or individuals.
- ❖ It conceives the global system as the structure or context within which states cooperate, compete and confront each other over issues of national interest.
- ❖ Particularly important in that context is the distribution of power amongst states, meaning, whether there is one main concentration of power (uni-polarity), two (bipolarity) or several (multi-polarity).
- ❖ International system is anarchic that lacks a central government that regulates and controls what happens to states in their dealings with each other

Levels of Analysis in International Relations

- ❖ A system-level study would need to consider global linkages that go beyond single interactions between states.
- ❖ It would need to look at such things as the balance of power between states and how that determines what happens in global politics.
- ❖ This could include developments that are even outside the immediate control of any particular state or group of states, such as the global economy, transnational terrorism or the internet.

The Structure of International System

- ❖ IR scholars maintain that political power is usually distributed into three main types of systems namely: (i) uni-polar system, (ii) bipolar system and, (iii) multipolar system.
 - In a uni-polar international system, there is one state with the greatest political, economic, cultural and military power and hence the ability to totally control other states.
- ❖ In the case of the bipolar system, there are two dominant states (**super powers**) and the **less powerful states** join either sides through alliance and counter alliance formations.
- ❖ The problem with bipolar system is that it is vulnerable for zero-sum game politics because when one superpower gains the other would inevitably lose.
- ❖ One typical historical example where the world was under bipolar system is the cold war period.

The Structure of International System

- ❖ Multipolar system is the most common throughout history.
- ❖ During the period around World War I it was a typical world system.
- ❖ It usually reflects various equally powerful states competing for power.

Power

- ❖ Power is the currency of international politics.
- ❖ As money is for economics, power is for international relations (politics).
- ❖ In the international system, power determines the relative influence of actors and it shapes the structure of the international system.

The Structure of International System

- ❖ For Hans Morgenthau, a famous thinker of realism theory in IR, International politics, like all other politics, is a struggle for power.
- ❖ It thus follows from this that power is the blood line of international relations.
- ❖ Power can be defined in terms of both relations and material (capability) aspects.
- ❖ The relational definition of power is formulated by Robert Dahl as 'A's' ability to get 'B' to do something it would not otherwise do.
- ❖ To better understand this definition, consider this historical example: USA and USSR had roughly balanced capabilities during the cold war era.

The Structure of International System

- ❖ With the demise of the Soviet Union, for instance, the power balance between Russia and the United States has changed in favour of the latter, i.e. the United States emerged as more powerful than Russia and in consequence managed to exercise power over Russia—meaning the USA owned the ability to get Russia to do what Russia would not otherwise do.

Anarchy

- ❖ Anarchy is a situation where there is absence of authority (government) be it in national or international/global level systems.
- ❖ Within a country 'anarchy' refers to a breakdown of law and order, but in relations between states it refers to a system where power is decentralized and there are no shared institutions with the right to enforce common rules.
- ❖ An anarchical world is a world where everyone looks after themselves and no one looks after the system as a whole.
- ❖ Instead, states had to rely on their own resources or to form alliances through which the power of one alliance of states could be balanced against the power of another alliance.
- ❖ the two world wars were fought because of lack of world government that enforce common rules

Sovereignty

Sovereignty is another basic concept in international relations and it can be defined as an expression of:

- ❖(i) a state's ultimate authority within its territorial entity (internal sovereignty) and,
- ❖(ii) the state's involvement in the international community (external sovereignty).
- ❖In short, sovereignty denotes double claim of states from the international system, i.e., autonomy in foreign policy and independence/freedom in its domestic affairs.

1.7. Theories of International Relations

- ❖ Theories of international relations allow us to understand and try to make sense of the world around us through various lenses, each of which represents a different theoretical perspective.
- ❖ This section introduces the traditional theories, middle-ground theories and critical theories of international relations. Examples are used throughout to help bring meaning and perspective to these positions

1. Idealism/Liberalism

- ❖ Liberalism in IR was referred to as a 'utopian' theory and is still recognized as such to some degree today.
- ❖ Liberalism depicts optimism by arguing that human beings are good, cooperation is possible and conflict can be resolved peacefully
- ❖ Immanuel Kant developed the idea in the late 18thC that states that shared liberal values should have no reason for going to war against one another.
- ❖ Democratic values such as respect for human rights, rule of law, accommodation of multiple interest groups inside the state as well as a belief in reconciliation, makes compromise with and between democracies unproblematic as the democratic states appears to be non-violent.

1. Idealism/Liberalism

- ❖ democracies are transparent and accountable systems of government which work towards “free flow of information” and thus reduce the risk of being misunderstood
- In Kant’s eyes, therefore, the more liberal states there were in the world, the more peaceful it would become,
- His ideas have resonated and continue to be developed by modern liberals, most notably in the democratic peace theory, which posits that democracies do not go to war with each other

1. Idealism/Liberalism

- ❖ Democratic theory argues that democracies(liberal states) rarely go to war b/c of the following reasons
 - ❖ people learn from their past mistakes and eventually come to cooperate with one another by leaving war and conflict behind
 - ❖ Democracies are inherently peaceful as the people are indirectly ruling their own country through a representative government
 - ❖ The power is not concentrated into the hands of a single autocratic leader and that there is several veto groups which prevent a hasty decision to go to war with other states.

1. Idealism/Liberalism

- ❖ the permanent cessation of war is an attainable goal according to liberalism
- ❖ Kant focused on harmony between people overseen by institutions such as judiciary and the representative form of the government where leaders exercise their authority with the consent of the people
- ❖ One particular brand of liberalism, which is known as **liberal institutionalism** came into prominence after the WWI when the President of the USA, Woodrow Wilson laid down the foundation for the League of Nations
- ❖ As he presented his ideas for a rebuild world beyond the war, the last of his points was to create a general association of nations, which became the League of Nations.

1. Idealism/Liberalism

- the League of Nations was created largely for the purpose of overseeing affairs between states and implementing, as well as maintaining, international peace
- In the early years, from 1919 to the 1930s, IR was dominated by liberal internationalism.
- The primary concern of this approach was that conditions which had led to the outbreak of the WWI and the devastation which followed should not be allowed to occur in the future.
- liberal internationalism suggested that ‘the prospects for the elimination of war lay with a preference for democracy over aristocracy, free trade over autarky, and collective security over the balance of power system

1. Idealism/Liberalism

- states can be made to cooperate with each other in economic terms even if they exist in a system where there is security competition
- The two interrelated ideas that emerge from Kant's reflections centered on democratic governance and institutionalized law-governed relations of cooperation between states.
- The two influential pillars of liberal internationalism, **democracy and free trade**, required the establishment of international relations which would promote collectivist aspirations in place of the conflictual relations which formed the basis of balance-of-power.

1. Idealism/Liberalism

- ❖ the league of Nations was created to keep international; peace and security.
- ❖ However, the League collapsed due to the outbreak of the Second World War in 1939
- ❖ The failure the league seemed to contradict their theories.
- ❖ Therefore, despite the efforts of prominent liberal scholars and politicians such as Kant and Wilson, liberalism failed to retain a strong hold and a new theory emerged to explain the continuing presence of war.

2. Realism

- ❑ The 'idealism' of the interwar period replaced by realism, and it is this school of thought which remains dominant in the discipline
- ❑ One central area that sets realism and liberalism apart is how they view human nature.
- ❑ Realists do not typically believe that human beings are inherently good, or have the potential for good, as liberals do.
 - ❑ Instead, they claim individuals act in their own self-interests.
 - ❑ For realists, people are selfish and behave according to their own needs without necessarily taking into account the needs of others.
 - ❑ Realists believe conflict is unavoidable and perpetual and so war is common and inherent to humankind.
 - ❑ Realism depicts pessimism by arguing that human beings are bad, conflict is inevitable and war is the most prominent instrument of resolving conflict

2. Realism

➤ The basic assumptions of realism are presented as follows:

1. Traditional realists,

- ❖ International politics is an unethical exercise which is destroyed by war and conflict because of human nature
- ❖ One of them was Thomas Hobbes who believed that man operated in a state of nature where no law existed above him to prevent him from acting immorally or according to a specified set of rules.
- ❖ State of nature was characterized by “competition, diffidence and glory” amongst humans

2. Realism

2. neo-realists

- International relations are anarchic due to the absence of sovereign authority, not b/c of human nature
- States serve their own interests in the international system by following a strict code of self help due to the absence of any authority above them
- They often pursue self interest; maximize their power to protect themselves from any threat.
- Because some states may at any time use force, all states must be prepared to do so
- No one state can trust another therefore cooperation is limited and unstable when it occurs

2. Realism

- Hans Morgenthau asserts that ‘realism assumes that its key concept of interest defined as power is an objective category which is universally valid, but it does not endow that concept with a meaning that is fixed once and for all’.
- According to Morgenthau, who is the prominent scholar in the field ‘international politics, like all politics, is a struggle for power’.
- the realism expressed by Morgenthau purports to be scientific and explanatory when compared to liberalism
- Theories of international relations must, according to Morgenthau, be consistent with the facts and it is these which must be the ultimate test of the validity of theoretical statements.

2. Realism

- Realism gained momentum during the Second World War when it appeared to offer a convincing account for how and why the worst conflict in known history originated after a period of supposed peace and optimism.
- By the late 1950s and into the 1960s we see a discipline dominated by realist conceptions of international relations
- As its name suggests, advocates of realism purport it reflects the ‘reality’ of the world and more effectively accounts for change in international politics.

2. Realism

- ❖ when viewing that world through the realist lens, the world appears to be one of domination.
- ❖ Liberals, when looking at the same world, adjust their lenses to blur out areas of domination and instead bring areas of cooperation into focus.
- ❖ It is important to understand that there is no single liberal or realist theory.
- ❖ Scholars in the two groups rarely fully agree with each other, even those who share the same approach.
- ❖ Each scholar has a particular interpretation of the world, which includes ideas of peace, war and the role of the state in relation to individuals.
- ❖ And, both realism and liberalism have been updated to more modern versions (neoliberalism and neorealism) that represent a shift in emphasis from their traditional roots

2. Realism

- ❖ Both liberalism and realism consider the state to be the dominant actor in IR, although liberalism does add a role for non-state actors such as international organizations.
- In terms of liberalism, its proponents argue that organizations are valuable in assisting states in formulating decisions and helping to formalize cooperation that leads to peaceful outcomes.
- Realists on the other hand believe states partake in international organizations only when it is in their self-interest to do so.

3. Structuralism/Marxism

- Marxism is an ideology that argues that the main source international instability would be the conflict between two classes (a capitalist society is divided into two contradictory classes – the business class (the bourgeoisie) and the working class (the proletariat)).
- The proletariats are at the mercy of the bourgeoisie who control their wages and therefore their standard of living.
- Marx hoped for an eventual end to the class society and overthrow of the bourgeoisie by the proletariat.
- The source of international instability is not anarchy, but the capitalist mode of production which defines the unjust political institutions and state relations

3. Structuralism/Marxism

- ❖ The structuralism paradigm which emerged as a critique of both realism and pluralism concentrated on the inequalities that exist within the international system,
- ❖ inequalities of wealth between the rich 'North' or the 'First World' and the poor 'South' or the 'Third World' are the main sources of instabilities at global level
- ❖ Inspired by the writings of Marx and Lenin, the structuralism paradigm focused on **dependency, exploitation and the international division of labor** which downgraded the vast majority of the global population to the extremes of poverty, often with the complicities of elite groups within these societies.

3. Structuralism/Marxism

- As many in this tradition argued, most states were not free.
- Instead they were subjugated by the political, ideological and social consequences of economic forces.
- Imperialism generated by the strength of free enterprise capitalism in the West and by state capitalism in the socialist bloc imposed unequal exchange of every kind upon the Third World (Banks, 1984)
- The basis of such manifest inequality was the capitalist structure of the international system which accrued benefits to some while causing, through unequal exchange relations, the impoverishment of the vast majority of others.

3. Structuralism/Marxism

- The class system that pre-dominated internally within capitalist societies had its parallel globally, producing centre–periphery relations that permeated every aspect of international social, economic and political life.
- Thus, where pluralism and its liberal associations had viewed networks of economic interdependence as a basis of increasing international cooperation founded on trade and financial interactions, neo-Marxist structuralism viewed these processes as the basis of inequality, the debt burden, violence and instability.

3. Structuralism/Marxism

- Major writers in the structuralist perspective emerged from Latin America, Africa and the Middle East, primary among which were Andre Gunter Frank and Samir Amin, both of whom concentrated on dependency theory.
- According to dependency theory, resources flow from the “periphery” of poor and underdeveloped states to a “core” of wealthy states, enriching the latter at the expense of the former
- Immanuel Wallerstein’s world systems analysis provided a historicist account of the spread of capitalism from the sixteenth century to the present, providing a definitive statement on the impact of this structure on interstate, class and other social relations

4. Constructivism

- ❖ Unlike scholars from other perspectives, constructivists highlight the importance of **values and shared interests** between individuals who interact on the global stage.
- ❖ Alexander Wendt, a prominent constructivist, described the relationship between agents (individuals) and structures (such as the state) as one in which structures not only constrain agents but also construct their identities and interests.
- Constructivists disagree with realist position that anarchy inherently leads to competition and war
- As one of the foremost scholars on constructivism, Alexander Wendt, argued that competition and war is not the result of anarchy, but due to process

4. Constructivism

- There is no reason that anarchy brings about war and peace
- The way International system will look depend on interactions among different actors
- Emphasis the importance of normative as well as material structures, and the role of identity in the constitution and action

4. Constructivism

- After all, states do not interact; it is agents of those states, such as politicians and diplomats, who interact.
- As those interacting on the world stage have accepted international anarchy as the defining principle, it has become part of our reality.
- However, if anarchy is what we make of it, then different states can perceive anarchy differently and the qualities of anarchy can even change over time.
- International anarchy could even be replaced with a different system if a critical mass of other individuals (and by proxy the states they represent) accepted the idea.
- To understand constructivism is to understand that ideas, or 'norms' as they are often called, have power.
- IR is, then, a never-ending journey of change chronicling the accumulation of the accepted norms of the past and the emerging norms of the future

5. Critical Theories

- Critical approaches refer to a wide spectrum of theories that have been established in response to mainstream approaches in the field, mainly liberalism and realism.
- In a nutshell, critical theorists share one particular trait – they oppose commonly held assumptions in the field of IR that have been central since its establishment.
- Thus, altered circumstances call for new approaches that are better suited to understand, as well as question, the world we find ourselves in.
- Critical theories are valuable because they identify positions that have typically been ignored or overlooked within IR.
- They also provide a voice to individuals who have frequently been marginalized, particularly women and those from the Global South.
- Critical theorists who take a Marxist angle often argue that the internationalization of the state as the standard operating principle of international relations has led ordinary people around the globe becoming divided and alienated, instead of recognizing what they all have in common as a global proletariat.
- For this to change, the legitimacy of the state must be questioned and ultimately dissolved. In that sense, emancipation from the state in some form is often part of the wider critical agenda.

5. Critical Theories

- Post-colonialism differs from Marxism by focusing on the inequality between nations or regions, as opposed to classes.
- The effects of colonialism are still felt in many regions of the world today as local populations continue to deal with the challenges created and left behind by the former colonial powers.
- Post-colonialism's origins can be traced to the Cold War period when much activity in international relations centered around decolonization and the ambition to undo the legacies of European imperialism.
- This approach acknowledges that politics is not limited to one area or region and that it is vital to include the voices of individuals from other parts of the world. Edward Said (1978) developed the prominent 'Orientalist' critique, describing how the Middle East and Asia were inaccurately depicted in the West.
- As a result, more focus within the discipline was placed on including the viewpoints of those from the Global South to ensure that Western scholars no longer spoke on their behalf. This created a deeper understanding of the political and social challenges faced by people living within these regions as well as an acknowledgement of how their issues could be better addressed. Postcolonial scholars are, therefore, important contributors to the field as they widen the focus of enquiry beyond IR's traditionally 'Western' mindset.

5. Critical Theories

- Generally, realists believe that international organizations appear to be successful when they are working in the interests of powerful states.
- But, if that condition is reversed and an organization becomes an obstacle to national interests, then the equation may change.
- This line of enquiry is often used by realists to help explain why the League of Nations was unsuccessful – failing to allow for Germany and Japan's expansionist desires in the 1930s.
- A contemporary example would be the United States invading Iraq in 2003 despite the Security Council declining to authorize it.
- The United States simply ignored the United Nations and went ahead, despite opposition.

5. Critical Theories

- On the other hand, liberals would argue that without the United Nations, international relations would likely be even more chaotic – devoid of a respectable institution to oversee relations between states and hold bad behavior to account.
- A constructivist would look at the very same example and say that while it is true that the United States ignored the United Nations and invaded Iraq, by doing so it violated the standard practices of international relations.
- The United States disregarded a ‘norm’ and even though there was no direct punishment, its behavior was irregular and so would not be without consequence. Examining the difficulties the United States faced in its international relations following 2003 gives considerable weight to the constructivist and liberal viewpoints.

5. Critical Theories

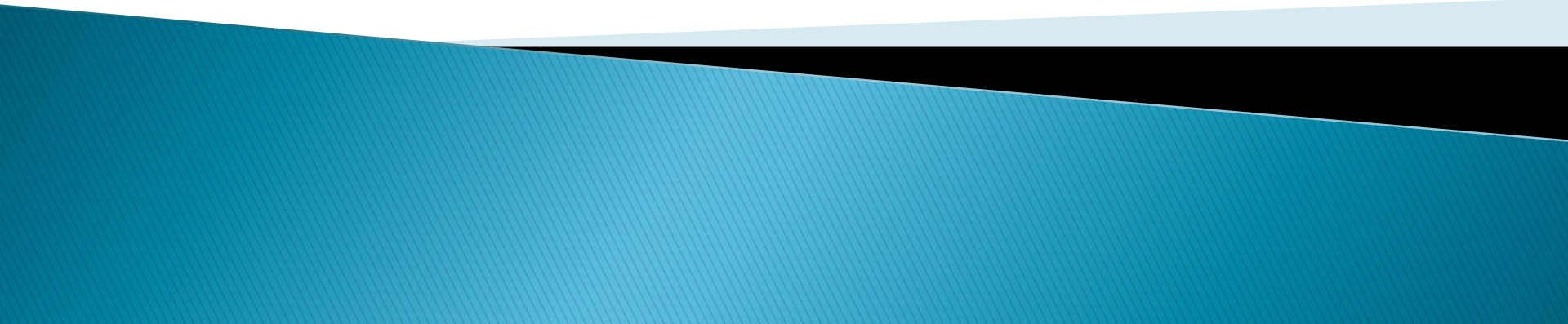
- In contrast to liberals and constructivists, who value the United Nations to an extent, critical theories offer different perspectives.
- Marxists would argue that any international body, including the United Nations, works to promote the interests of the business class.
- After all, the United Nations is composed of (and was built by) states who are the chief protagonists in global capitalism – the very thing that Marxism is opposed to.
- Likewise, the United Nations can be said to be dominated by imperial (or neo-imperial) powers.
- Imperialism, according to Marxist doctrine, is the highest stage of capitalism.
- The United Nations, then, is not an organization that offers any hope of real emancipation for citizens.
- Even though it may appear humanitarian, these actions are merely band-aids over a system of perpetual state-led exploitation that the United Nations legitimizes

5. Critical Theories

- Finally, post-colonialists would argue that the discourse perpetuated by the United Nations is one based on cultural, national or religious privilege. They would suggest, for instance, that, as it has no African or Latin American permanent members, the Security Council fails to represent the current state of the world. Post-colonialists would also point to the presence of former colonial powers on the Security Council and how their ability to veto proposals put forward by other countries perpetuates a form of continued indirect colonial exploitation of the Global South.

Chapter Two

Understanding Foreign Policy and Diplomacy



Defining National Interest

- ❖ **National interest** refers to set of values, orientation, goals and objectives a given country would like to achieve in its international relations.
 - ✓ It has been the main driving force that determines the contents of foreign policy.
 - ✓ National interest is something related to the **ambition of governments**, viz., what governments aspire to fulfill in its future interaction with others
- ❖ Power to influence the behaviors of other state is the primary instrument to implement national interest.

Defining ... cont'd

- ❖ However, there is no universally accepted definition of national interest
- ❖ There are a multiplicity of criteria used in defining national interest, including
 - ✓ Operational philosophy, moral and legal criteria, pragmatic criteria, ideological criteria, professional advancement, partisan criteria, bureaucratic-interest criteria, ethnic/racial criteria, class-status criteria and foreign –dependency criteria.

Understanding Foreign Policy and Foreign Policy Behaviors

- ❖ Foreign policy refers to the sets of objectives and instruments that a state adopts to guide its relation with the outside world
 - ✓ It also encompasses specific strategies and instruments, economic and diplomatic tools that states employ to achieve their objectives
 - ✓ The objectives of foreign policy which a state wants to achieve are related to national interest
 - ✓ So, national interest is often considered as the objectives of foreign policy of a state.
 - ✓ And these objectives can be classified as long range, middle range and short range.

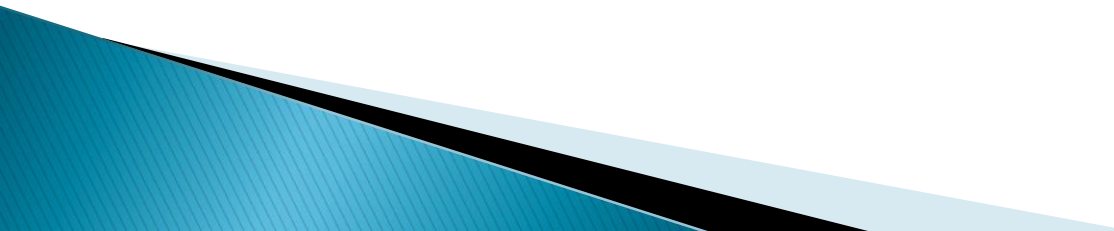
Understanding Foreign Policy... Cont'd

- ❖ These objectives, visions and goals state aspire to achieve is commonly referred as national interest.
- ❖ Morgenthau suggests that the minimum goal a state would like to achieve is survival.
 - ❖ Every state should protect their physical identity (maintenance of the territorial integrity of a state), political identity (the preservation of existing politico-economic systems), and cultural identity (ethnic, religious, and linguistic and historical norms of the peoples residing in the state) against any encroachment by other states.

Understanding Foreign Policy... Cont'd

- ❖ Foreign policy also involves specific instruments and tactics that must be employed to realize those objectives and goals.
 - ✓ The most widely employed instruments include, diplomatic bargaining, economic instruments, propaganda, terrorism (sabotage), and use of force (war)
- ❖ Security and survival of a state, as explained above, has always been considered as the first priority, among various foreign policy objectives, which a state aspires to achieve in the short run.

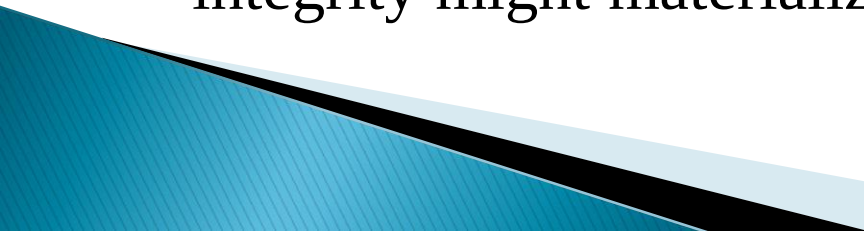
Understanding Foreign Policy... Cont'd

- In this regard, K. J. Holsti categorizes the foreign policy objectives of states into three, namely
 - A. The short range,
 - B. Middle ranges and
 - C. Long range objectives
- 

Foreign Policy Objectives

- ❖ The foreign policy objectives can be classified as:
 - (1) Core values and interests
 - (2) Middle range goals, and
 - (3) Universal long range goals-which seldom have definite time limits.

1. Core Interests and Values (Short Range Objectives)

- ❖ Are basic principles and goals of foreign policy that society accepts without any question and willing to make ultimate sacrifices.
 - ❖ The most essential core interests and values, is to ensure the **sovereignty and independence** of the home territory
 - ❖ Conquering the of neighboring countries might be considered as the core interests of states
 - ❖ This is because these area contain asset such as man power and resources that can increase the capabilities, or because they believe that the major threat for their territorial integrity might materialize through adjacent countries
- 

Core Interests ... Cont'd

- ❖ Countries such as Israel and the United States pursue such policies called extra-territoriality
 - ✓ States may think that their national interest is at risk when the interests and security of citizens living in the neighboring states and other states are threatened.
 - ✓ So, liberating or protecting the interests of such individuals and groups might be considered as part of its core national interest.

2. Middle Range Objectives

- The bottom point that a state would like to achieve in its medium term is to take a course of actions that have the highest impact on the domestic economic and welfare needs and expectation
 - ✓ To satisfy domestic needs and aspirations, states would have to interact with others
 - ✓ Trade, foreign aid, access to communication facilities, sources of supply, and foreign market are for most states necessary for increasing social welfare.

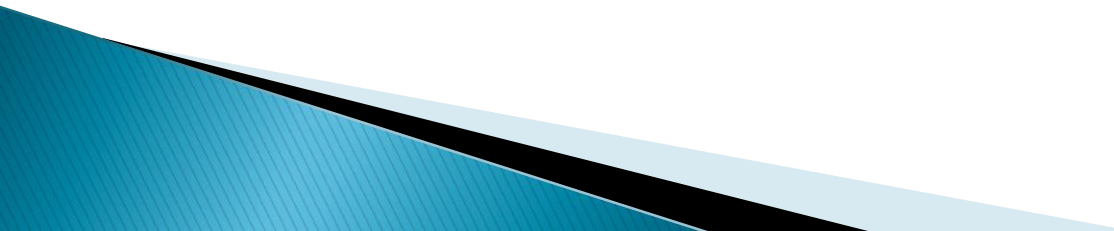
3. Long- Range Objectives

- Such long range visions and dreams may have international consequences as far as they are complemented by the capabilities and powers
 - ✓ This, however, doesn't necessarily imply that states that are less capable, often those middle powers and less developing countries, does not formulate long range objective.
 - ✓ Every country has its own visions and ambition proportional to its relative strength and capabilities to be realized in the long run.

Foreign Policy Behavior: Patterns and Trends

- ❖ Foreign policy behavior refers to the actions states take towards each other.
- ❖ patterns of foreign policy behavior can be identified.
- ❖ Arnold Wolfers, a famous specialist in the field of IR, suggested that all foreign policy behavior ultimately boils down to three possible patterns:
 1. **Self-preservation** (maintaining the status quo);
 2. **Self-extension** (revising the status quo in one's own favor);
 3. **Self-abnegation** (revising the status quo in some else's favor).

Foreign Policy Behavior: Patterns and Trends

- ❖ The foreign policy patterns of countries such as United States can be categorized as self-preservation.
 - ❖ One can say that the international institutions (IMF, World Bank, WTO) that were established following Second World War have been strongly shaped by United States.
 - ❖ The decision making procedures of such institutions including the UN are all shaped to serve the global interests of this country.
- 

Foreign Policy Behavior: Patterns and Trends

- ❖ On the other hand newly emerging powers such as China, India, Brazil, Germany and others are competing to restructure the international institutions and different regimes to promote their national interest.
 - Such policy trend is **self-extension**.
- ❖ The third model, **i.e. self-abnegation** reflects the foreign policy trends that are being displayed in Less Developing Countries.
- ❖ These countries usually fail to defend and promote their national interests in their external relations since they are dependent on foreign aid
- ❖ Such countries may compromise its long lasting national interest for temporary and immediate benefits

Foreign Policy Dimensions

- ❖ The dimensions of foreign policy include
 - A. alignment,
 - B. scope and
 - C. modus operandi.

A. Alignment

- ❖ One can identify the alignment tendencies such as alliance, neutrality and non-alignment.
- ❖ Alliances are formal agreements to provide mutual military assistance

Foreign Policy Dimensions

- ❖ Neutrality is a stance of formal non partisanship in world affairs.
- ❖ Nonalignment has been the foreign policy pattern of most developing state during cold war.
- ❖ Most developing countries had a movement-Non Alignment Movement (NAM) in which they called for a new foreign policy path/choice/ to be followed disregarding the both the West and East bloc politics and alliances.
- ❖ Although that was practically impossible, NAM had noble agenda that called for the South-south cooperation

Foreign Policy Dimensions

B. Scope

- ❖ A second foreign policy dimension is the scope of a country's activities and interests
- ❖ Some countries have extensive, far-reaching international contacts, while other countries have more limited activities abroad
- ❖ A country's scope of contact can affect the outcome of disputes and crises
- ❖ With regards to the scope of activities a state has in international relations, one can identify at least three patterns of foreign policy behaviors, Some actors act in Global terms, others as Regional terms, and those that follow policy of Isolationism.

Foreign Policy Dimensions

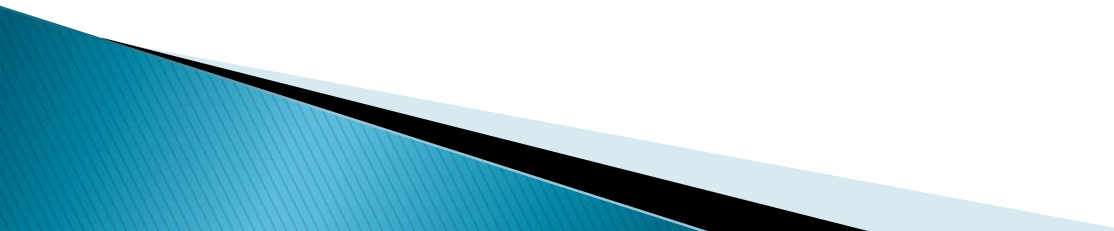
- ❖ Most countries in the world are essentially regional actors, interacting primarily with neighboring states in the same geographical area except for contacts, frequently concerning economic issues such as trade; with major actors like United States and China outside their region.
 - ✓ For example, South Africa is a regional actor in Africa in general and in Southern Africa in Particular.
 - ✓ India can also be considered as the most important actor in South Asian region, so is China in entire Asia.
- ❖ Isolationism becomes an increasingly less viable foreign policy orientation.
- ❖ Some of the known global actors such as United States of America, China, and the ex-USSR all have passed through period of relative isolationism and of mainly regional interests, finally branching out in to global concerns

Foreign Policy Dimensions

C. Mode of Operation/ “Modus Opernadi”

- In addition to the alignment and scope dimensions of a country's foreign policy, we can also identify certain patterns of foreign policy behaviors on the basis of the modus operandi-the method of operation.
 - ✓ Some countries often rely on multilateral institutions to address different issues.
 - ✓ Still others very much rely on unilateral means.
 - ✓ They may choose to solve the problems by themselves.

Foreign Policy Dimensions

- The more multilateralist a state is, the greater its tendency to seek solutions to problems through diplomatic forums in which several states participate, such as the United Nations, rather than utilizing purely bilateral, country to country approaches
 - Most developing countries used the multilateral approaches to address many issues of concern.
- 

Instruments of Foreign Policy

- ❖ These instruments are divided into three: political (diplomacy and alliance formation), economic and military instruments

1. Diplomacy

- ✓ Diplomacy is an art of conducting IR between actors (diplomats, usually representing a state) and engage in private and public dialogue (diplomacy) to pursue their objectives in a peaceful manner.
- ✓ Diplomacy is not foreign policy and must be distinguished from it.
- ❖ The nature of diplomacy and its strategy has been radically changed from the old practices since WWI and formation of the League of Nations

Instruments of Foreign Policy

- ❖ There arose multilateral (alliances of many countries to achieve the same goal) diplomacy, public or people to people diplomacy, leader-to-leader (summitry diplomacy) in sharp contrast to secret diplomacy and bilateral diplomacy.
- ❖ Regardless of whether diplomacy is conducted openly or secretly, multilaterally or bilaterally, implicitly or formally, by ambassadors or leader-to-leader, the essence of diplomacy remains bargaining.
 - ✓ Bargaining can be defined as a means of settling differences over priorities between contestants through an exchange of proposals to reach agreements, compromises, and settlements where governments objectives conflict.

Instruments of Foreign Policy

- It involves the attempt to change the policies, actions, attitudes and objectives of other government and their diplomats by persuasion, offering rewards, exchange concessions, or making threats.
- The international law that governs diplomacy is the **Vienna Convention on Diplomatic Relations of 1961**
 - ✓ It indicates that only states are diplomatic actors.
 - ✓ Yet, the modern international system also involves powerful actors that are not states such as INGOs and IGOs

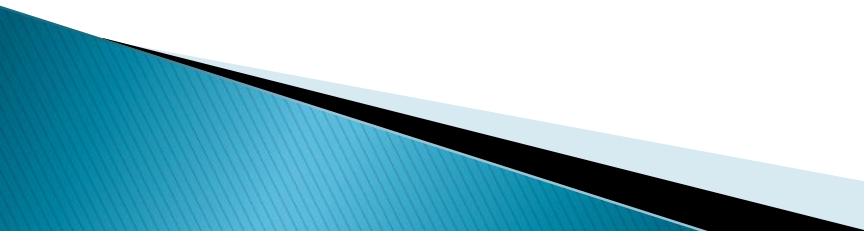
Rules of Effective Diplomacy

- The following are some of the basic rules that diplomats have employed with greater effectiveness over the years:
 - A. **Be realistic**: It is important to have goals that match your ability to achieve them
 - B. **Be careful about what you say**: use words carefully.
 - C. **Understand the other side**: There are several aspects to understanding the other side. One is to appreciate an opponent's perspective even if you do not agree with it.
 - D. **Be patient**: it is also important to bide your time. Being overly anxious can lead to concessions that are unwise and may convey weakness to an opponent.

Rules of Effective Diplomacy

2. Economic Instruments of Foreign Policy

Holsti states that economic instruments are used for three purposes, namely:

1. To achieve any foreign policy objective by exploiting need and dependence and offering economic rewards, or threat, ending or imposing economic punishments;
 2. To increase a state's capability or deprive a potential enemy's capabilities ;and
 3. To create economic satellites (guaranteed markets and resources of supply)
- ❖ To serve the above objectives, states often employ different techniques of economic reward and punishment.
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Rules of Effective Diplomacy

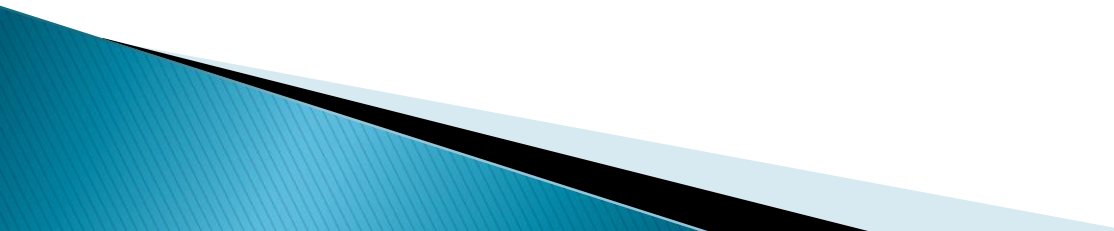
- ❖ The specific techniques that can be used to reward or punish constitute various control over the flow of goods between countries including, tariffs, quotas, boycotts, and embargos.
- ❖ Loans, credits, and currency manipulation can be used for reward as well.
 - A. **Tariff:** foreign made products coming into a country are taxed for the purpose of raising revenue, protecting domestic producers from foreign competition
- ❖ The tariff structure can be used effectively as an incentive or punishment when a country stands to gain or lose important markets for its products by increasing or decreasing the amount of tariff.

Rules of Effective Diplomacy

B. Quota:

- ❖ Under such arrangement, the supplier usually sends his goods into the country at a favorable price, but is allowed to sell only a certain amount in a given time period.

C. Boycott:

- ❖ A trade boycott organized by a government eliminates the import of either a specific commodity or the total range of export products sold by the country against which the boycott is organized.
- 

Rules of Effective Diplomacy

D. Embargo:

- ❖ A government that seeks to deprive another country of goods prohibits its own business men from concluding its transactions with commercial organization in the country against which the embargo is organized.
- ❖ An embargo may be enforced either on specific category of goods, such as strategic materials, or on the total range of goods that private businessmen normally send to the country being punished

E. Foreign Aid:

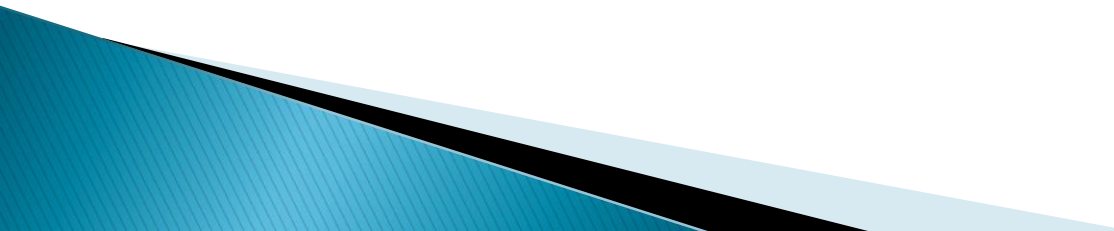
- ❖ The transfer of money, goods, or technical advice from donor to recipient-is an instrument of foreign policy

Rules of Effective Diplomacy

F. Military Aid:

- ❖ Rich countries spend millions of dollars to strengthen their continental friendship/ alliance.
 - ❖ In this aid scheme, the donors supply money and material, while the recipient provide most of the man power.
 - ❖ The objective is to safeguard own security by strengthening the military capabilities of allies.
 - ❖ By helping recipients build up modern forces, the donors hope to obtain some immediate political or security objective.
- 

Rules of Effective Diplomacy

- ❖ Most aid programs are obviously not undertaken solely for humanitarian purpose
 - ❖ in the long run, it is designed to help secure certain of the donors` political objectives, which it cannot achieve solely through diplomacy, propaganda, or military policies.
 - ❖ The aim is to change the domestic or foreign policies of the recipient countries.
 - ❖ A government can be rewarded through increased aid allotments if it promises, for example, political and economic reforms (like adopting liberal democracy and deregulations of public enterprises); or it can be threatened with the reduction in aid if the reforms are not carried out.
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Overview of Foreign Policy of Ethiopia

Foreign Policy during Tewodros II (1855-1868)

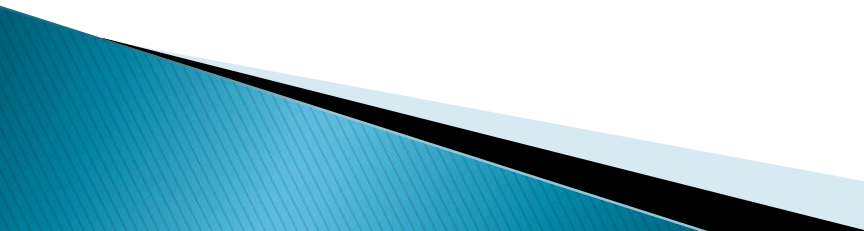
- The process of modern state was began in 1855 by Tewodros
- Tewodros wanted to create a united Ethiopia
- He introduced the idea of modernity and modern army
- Throughout his reign Tewodros tried to develop a dynamic foreign policy that reached out beyond the Horn Region.
- He sought the Western Christian world to recognize his country and help him to modernize his country.
- He appealed specifically to Britain, France and Russia as Christian nations to assist him in whatever ways possible in his fight against the Turks, Egyptians and Islam.

Overview of Foreign Policy of Ethiopia

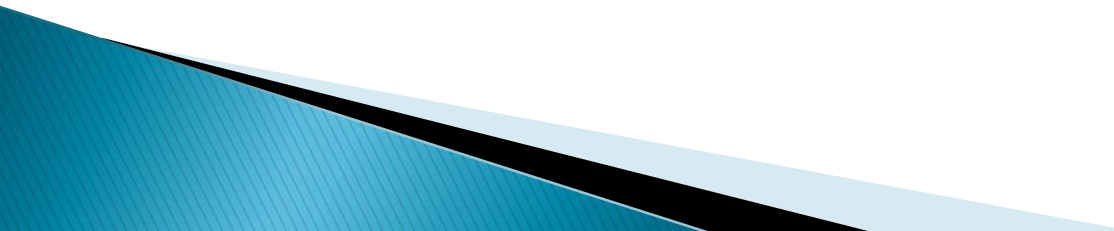
- The emperor attempted to establish his diplomatic relations to fight his immediate enemies claiming Christianity as instrument of foreign policy.
 - However, the emperor demand modern technology and skilled man power, Britain sent religious missionaries.
 - Despite his demand to be recognized as the emperor of Ethiopia and treated with respect and equal footing with the British Queen that was not reciprocated by Queen Victoria.
 - Consequently Tewodros took desperate measures by taking hostage of several British missionaries which was responded with the British Military Expedition.
 - Tewodros's Troops were easily defeated and the King did not surrender but tragically committed suicide
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Overview of Foreign Policy of Ethiopia

Foreign Policy during Yohannes IV (1872-1889)

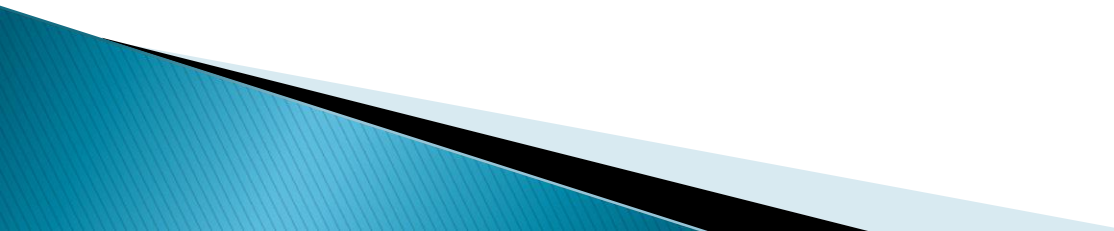
- Like his predecessor, Yohannes considered Islam as a threat to the territorial integrity of the polity.
 - Indeed Egypt tried to put a serious security threat in its continued attempt to invade the country under many pretexts, yet its motive was to control the source of Blue Nile.
 - These, however, were not successful as Egypt faced subsequent defeat both in 1875 and 1876 at the Battle of Gundet and Gura respectively.
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Overview of Foreign Policy of Ethiopia

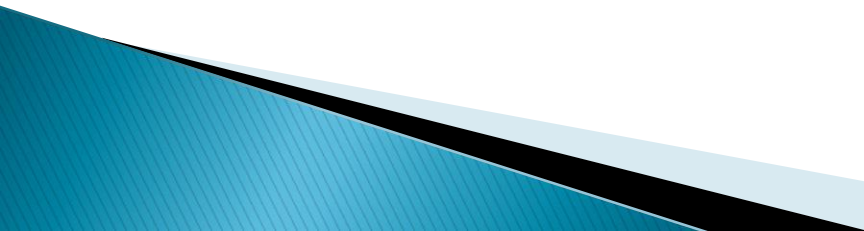
- ▶ In addition to Muslim threat, the emperor saw European expansionism as threat to the survival of the country.
 - ▶ The emperor died fighting with the “Mahadists”.
 - ▶ The Sudanese resistance groups against British rule happened to invade Western Ethiopia because of their presumption that Yohannes IV was collaborating with the British.
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Overview of Foreign Policy of Ethiopia

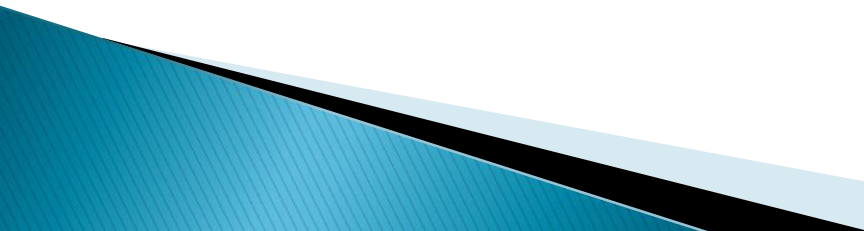
Foreign Policy during Menelik II (1889-93)

- Menelik was the King of Shoa region before his coronation as the King of Kings of Ethiopia
 - He had expanded his sphere of influence towards the far South and East incorporating new areas and communities peacefully or otherwise
 - The southward expansionism policy of the King was mainly targeted to have access to Sea Port, Zeila
- 

Overview of Foreign Policy of Ethiopia

- Before the death of Yohannes Italy had good diplomatic relation with Menelik with the objective of weakening its immediate enemy in the North, Yohannes.
 - Following the death of Yohannes, however, Italy continued to be the main challenge in the North.
 - Moreover, the King saw the other colonial powers surrounding all four corners of the country as the scramble of Africa was heightened.
 - Italy expanded towards the hinterland of Ethiopia from its first hold of Bogess, later named Eritrea, and Missawa port crossing Tekeze river.
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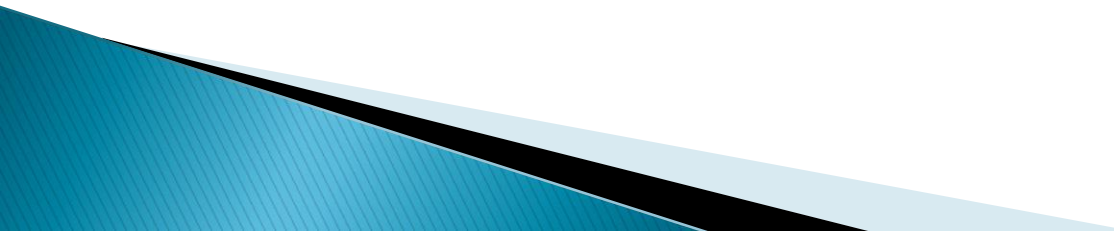
Overview of Foreign Policy of Ethiopia

- ▶ The emperor entered many treaties and agreements to solve the challenge amicably
 - ▶ One of the remarkable treaties was the ‘Wuchalle’ friendship and peace treaty where the parties agreed to avoid war and solve the problem peacefully
 - ▶ On the other hand the emperor was preparing himself by accumulating military ammunitions to defend the aggression from any side of colonial powers, British, French and of course Italy
 - ▶ However, the emperor’s diplomatic endeavor with Italy failed to result in peace due to Italy’s misinterpretation of the controversial article 17 of the ‘Wuchalle treaty
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Overview of Foreign Policy of Ethiopia

- ▶ The treaty was signed between Menilik and Pietro Antonelli, in 1889
- ▶ In Amharic version of the treaty, the government of Ethiopia can use the government of Italy to have business relations with other European governments.
- ▶ The Italian version, however, stated that Ethiopia was obligated to conduct all its foreign relations through Italian authorities, which then led to the abrogation of the 'Wuchale' treaty by Ethiopia in 1893.
- ▶ As a result, Italy prepared for war and started its systematic penetration of the country from the north

Overview of Foreign Policy of Ethiopia

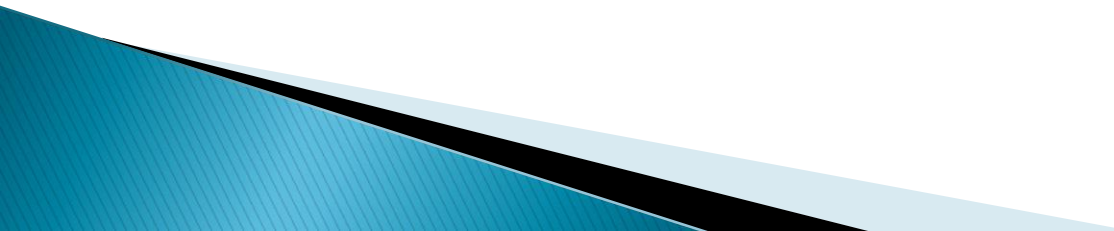
- ▶ In 1896, the emperor declared nation-wide war against Italy
 - ▶ After a severe battle, Ethiopian forces defeated Italy at the battle of Adowa.
 - ▶ The significance of the Adowa victory is loud and clear as many European powers recognized Ethiopia as an independent African state on similar footing with the Europeans.
 - ▶ Britain, France, Russia and Italy came to Menelik's Palace to arrange formal exchange of Ambassadors after the Battle of Adowa
- 

Overview of Foreign Policy of Ethiopia

Foreign Policy during Emperor Haile Selassie I (1916-1974)

- Haile Selassie I, assumed the throne in 1930
- He was dedicated to the creation of a stronger, and centralized empire
 - Ethiopia's membership in the League of Nations in 1923
- When the Italian Fascists finally invade Ethiopia between 1936 and 1941, the Emperor fled to London and established a government in exile.
- He appealed to the League of Nations for aid in defense to the country but the League failed to take any substantive measure against Italy

Overview of Foreign Policy of Ethiopia

- His diplomatic skills and Britain's own strategic necessities in the area enabled him to elicit the aid of the British in securing the liberation of Ethiopia.
 - In the immediate post-war period, Ethiopia was extremely dependent on British military, economic and technical aid.
 - British Military Aid was withdrawn in 1952, and the King moved quickly to firm up relations with the United States
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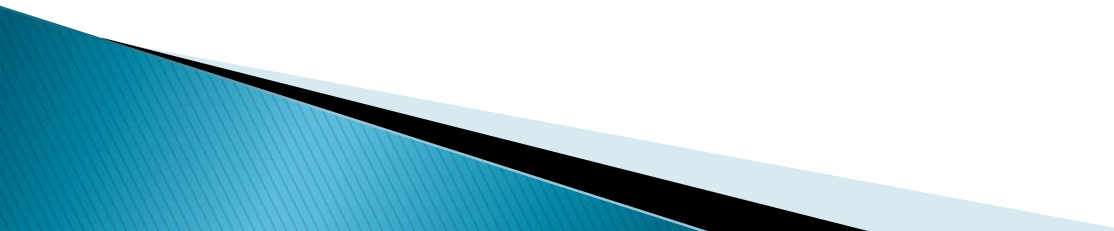
Overview of Foreign Policy of Ethiopia

- Agreements were concluded in 1953 to formulize this new relationship.
- As a result, the United States guaranteed Ethiopia's security
- Ethiopia received military aid and military training from the United States over the next 23 years
- The military aid was decisive for the Emperor to ensure his survival at home and maintain the territorial integrity of the country.
- He effectively used military action against those riots and rebellions both in rural and urban places

Overview of Foreign Policy of Ethiopia

- On more consistent basis, the United States contributed to the expansion of Ethiopian military as a hedge against the Somalia threats and to suppress Eritrean Nationalism.
- The establishment of the organization of African Unity in the capital of Ethiopia witnessed the prominent role of the emperor in African affairs
- Ethiopia also played a significant role in maintaining international peace and security by committing its troops for peacekeeping operations in Korea in 1951 and the Congo in 1961.

Overview of Foreign Policy of Ethiopia

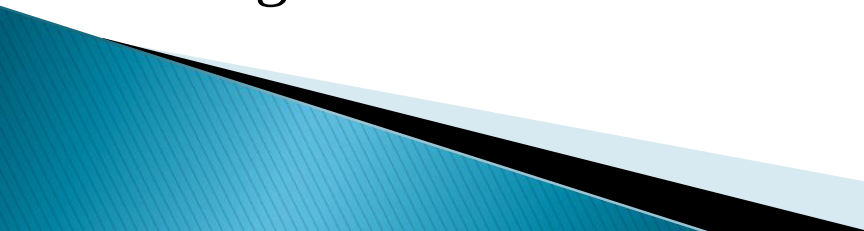
- Of course the emperor's strategic alliance with outside powers helped him to stay on power for decades.
 - In this regard British military aid and assistance helped him to restore and consolidate his power again by eliminating his potential rivals at home.
 - he distanced potential rivals first with help from the British and later on with the help of USA military and technical assistance.
- 

Overview of Foreign Policy of Ethiopia

Foreign Policy during the Military Government (1974—1991)

- The military regime adopted a foreign policy oriented to socialist ideology.
 - The primary objectives of the foreign policy were survival of the regime and maintaining the territorial integrity of the country.
 - The major strategy to achieve the stated objectives focused on building the military capability of the country.
 - And force had been employed as the best strategy to silence dissent at home and deter the perceived external enemies of the country.
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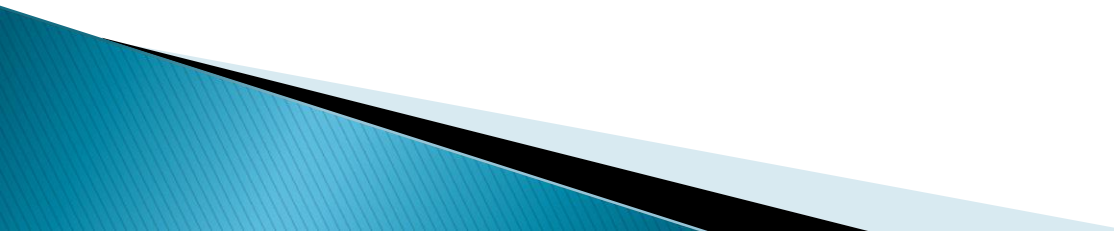
Overview of Foreign Policy of Ethiopia

- The country was heavily dependent on military aid on the Soviet Union which prevented it from securing any kind of military and technical assistance from the US and other European countries
 - The regime was condemned by the west for its human rights record, especially its treatment of former government officials
 - This resulted in declining Ethio-US relations marking its lowest point with the closure of the US military base and operation of military assistance
 - Following such problems, internal and external enemies began to take action to hasten the demise of the regime
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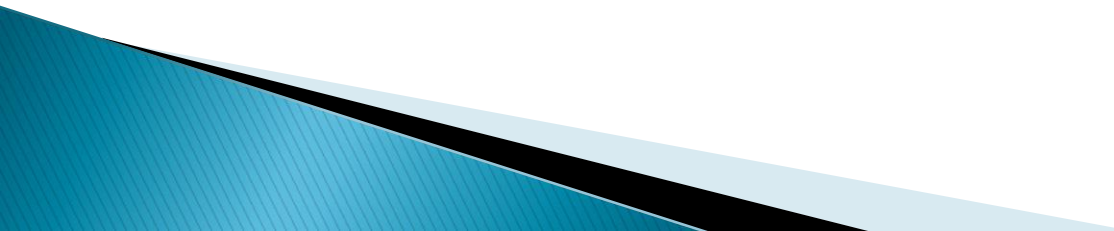
Overview of Foreign Policy of Ethiopia

- Internally Eritrean Liberation Front (ELF) launched military attack on the Ethiopian Army.
- Many external actors were involved in sponsoring the rebel group, including; Saudi Arabia, Egypt, Sudan, Somalia and later USA itself.
- Moreover, Somalia's invasion of the Ethiopian region of Ogaden was one of the serious external challenges of the Ethiopian Government at the time.
- The regime managed to reverse the Somali aggression with the help of the new powerful patron, USSR.
- The Soviet Union and its allies were thus able to exert immense influence in both domestic and foreign affairs of Ethiopia

Overview of Foreign Policy of Ethiopia

- Experts from the German Democratic Republic assisted the military regime in its struggle against domestic guerilla movements and external opponents, and in training cadres for the completely reorganized security services
 - The Dergue had sent hundreds of Ethiopians for training to the Soviet Union, Eastern Europe and Cuba while employing many of their administrators and technicians.
- 

Overview of Foreign Policy of Ethiopia

- Apart from socialism, Ethiopia's strategic locations and other questions, such as; Eritrea, Somalia, and the issue of the Nile, had also shaped the foreign policy orientation and behavior of military government.
 - Ethiopia being located in the Horn of Africa is at the cross roads to the oil rich middle East region and Indian Ocean.
 - As a result of this the U.S.S.R was keen to have stronghold over the area, replacing the United States.
- 

Overview of Foreign Policy of Ethiopia

The Foreign Policy of Ethiopia in the Post 1991

- ▶ In the post 1991, one of the goals of the foreign policy is to ensure the survival of the multi- national state.
 - ▶ National interest of the country is understood in terms of realizing democracy and development.
 - ▶ In this regard, foreign policy has been considered as an instrument to solve the domestic problems of the country, including; lack of good governance, instability and lack of economic development.
 - ▶ So democracy and development are the foreign policy visions of the country
- 

Overview of Foreign Policy of Ethiopia

- ▶ The primary strategy in realization of these goals is to put the focus on domestic issues first.
 - Addressing domestic political and economic problems requires forging national consensus about the problems and exit strategies.
 - ▶ Emphasizing on external issues such as; seeking financial aid, loans or technical issues would subject the country to dependency and vulnerability.
 - This strategy is called an “inside-out” approach.
 - ▶ If we solve our domestic problems the country would not be vulnerable and its peace and survival can be ensured.
- 

Overview of Foreign Policy of Ethiopia

- At diplomatic level, **economic diplomacy** is adopted to strengthen the domestic efforts in fighting poverty and backwardness
- Economic diplomacy involves attracting foreign investments, seeking markets for Ethiopian exportable commodities, seeking aid and concessional loans too.
- The Security and Foreign Policy of the country also indicated that Ethiopia would adopt a kind of **East-look** policy.
 - ✓ Ethiopia appreciates the East Asian countries economic successes and development paths.
 - ✓ The country would like to learn from such successful countries such as Singapore, Malaysian and Indonesia.

Overview of Foreign Policy of Ethiopia

- The other foreign policy strategy is building up the military capability of the country.
 - Peaceful dialogues and negotiations will be employed to peacefully coexist with others.
 - Diplomatic solutions can always be taken prior attention when dealing even disputes.
 - But above all building up military capability would have a deterrence effect.
 - Looking at the patterns of the country's foreign policies over the years, there have been changes and continuities in the foreign policy goals and tactics adopted by different governments of Ethiopia.
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Overview of Foreign Policy of Ethiopia

- Though strategies may sometimes differ the primary foreign policy objective of all the three regimes remained the maintenance of the territorial integrity and independence of the country
 - To this end the three regimes used a combination of both military force and diplomacy to address both internal and external challenges depending on the circumstances
 - In this manner, while the imperial and the military regime's foreign policy strategy is largely an approach the current regime followed “in-side out” approach
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End of Chapter Two!

Chapter three: International Political Economy

3.1. Meaning and Nature of International Political Economy (IPE)

- ❑ IPE is the study of the relationships between governments and businesses
- ❑ the field thus consists of two central dimensions namely: **the political and economic dimension.**
 - A. **political dimension:** accounts for the use of power by a variety of actors, including individuals, domestic groups, states, IOs, NGOs, and TNCs.
 - ❖ All these actors make decisions about the distribution of tangible things such as money and products or intangible things such as security and innovation.
 - B. **The economic dimension:**
 - ❖ deals with how scarce resources are distributed among individuals, groups, and nation-states.

3.2. Theoretical perspectives of International Political Economy

❑ There are three major theoretical (often ideological) perspectives regarding the nature and functioning of the International Political economy:

A. liberalism,

B. Marxism, and

C. nationalism (mercantilism).

❑ **Mercantilism** is the oldest of the three, dating back as early as the 16th C(perhaps even earlier).

❑ Marxism, by contrast, is the youngest of the three and is advanced by Karl Marx

- ❑ Since the mid-1980s, the relevance of the three perspectives has changed dramatically.
- ❑ With the end of communism, the relevance of Marxism greatly declined, and liberalism has experienced a relatively considerable growth in influence.
- ❑ many countries are accepting liberal principles these days
- ❑ they open their economies to imports and foreign investment, scale down the role of the state in the economy, and shift to export-led growth strategies.
- ❑ Marxism has been discredited but as an ideological critique of capitalism it survives and will continue to survive as long as those flaws of the capitalist system remain-e.g. the widening of gap between rich and poor

A. **Mercantilism/nationalism**: is a theoretical and ideological perspective which defends a strong and pervasive role of the state in the economy – both in domestic and international trade, investment and finance.

❑ In arena of international trade, mercantilism promotes an extreme policy of autarky to promote national economic self-sufficiency.

❑ According to mercantilism, state should play the role of identifying and developing industries through a variety of means, including tax policy, subsidization, banking regulation, and interest-rate management.

- ❑ The proof of the relevance of mercantilist thought in the contemporary international political economy is found in the recent experience of the Japanese, South Korean, Taiwanese and Chinese national political economies whose states fulfilled the above stated roles almost perfectly.
- ❑ Instead of the term mercantilism, however, these states the East Asian economies (especially Japan, South Korea, and Taiwan) used the term ‘developmental state approach’ to describe the nature of their national political economy system

B. Liberalism:

- ❑ defends the idea of free market system (i.e free trade/trade liberalization and free financial and Foreign Direct Investment (FDI) flows).
- ❑ Accordingly, removing barriers to the free flow of goods and services among countries is the principle of liberalism.
- ❑ The consensus among advocates of free trade is that it reduces prices, raises the standard of living for more people, makes a wider variety of products available, and contributes to improvements in the quality of goods and services.

C. Marxism:

- ❑ the relevance of Marxism declined following the collapse of Soviet Union in the 1990's.
- ❑ but Marxist critique of capitalism has continued
- ❑ according to Marxism global and national income inequality remains extreme: the richest 20% of the world's population controlled 83% of the world's income, while the poorest 20 percent controlled just 1%; Exploitation of labor shows no sign of lessening

□ In addition to the above mentioned foundational theories of International Political economy, the following three contemporary theories of International political economy are also worth considering.

A. **Hegemonic Stability Theory (HST)**: is a hybrid theory containing elements of mercantilism, liberalism, and even Marxism.

- ❑ Its closest association, however, is with mercantilism.
- ❑ The basic argument of HST is simple: the root cause of the economic troubles that bedeviled Europe and much of the world in the Great Depression of the 1920s and 1930s was the absence of a benevolent hegemon—that is, a dominant state willing and able to take responsibility (in the sense of acting as an international lender of last resort as well as a consumer of last resort) for the smooth operation of the International (economic) system as a whole.

B. Structuralism:

- ❑ is a variant of the Marxist perspective and starts analysis from a practical diagnosis of the specific structural problems of the international liberal capitalist economic system whose main feature is center-periphery (dependency) relationship between the North and the South which resulted in an “unequal (trade and investment) exchange.”
- ❑ it spread from Latin America to other countries in Asia and Africa in 1950's and advocates import substitution based on protectionist policies and the domestic promotion of manufacturing over agricultural and other types of primary production

C. Developmental State Approach

- ❑ Realizing the failure of neo-liberal development paradigm (in the 1980's) in solving economic problems in developing countries, various writers suggested the developmental state development paradigm as an alternative development paradigm.
- ❑ The concept of the developmental state is a variant of mercantilism and it advocates for the robust role of the state in the process of structural transformation.
- ❑ The term developmental state thus refers to a state that intervenes and guides the direction and pace of economic development.

Some of the core features of developmental state include;

- ❑ **Strong interventionism:** ability to use a set of instruments such as tax, credits, subsidies, import controls, export promotion, and targeted and direct financial and credit policies instruments that belong to the realm of industrial, trade, and financial policy.
- ❑ Existence of bureaucratic apparatus to efficiently and effectively implement the planned process of development.
- ❑ Existence of active participation and response of the private sector
- ❑ Regime legitimacy built on development results that ensured the benefits of development are equitably shared

3.3. Survey of the Most Influential National Political Economy systems in the world

3.3.1. The American System of Market-Oriented Capitalism

- ❖ The American system of political economy is founded on the premise that the primary purpose of economic activity is to benefit consumers while maximizing wealth creation;
- ❖ the distribution of wealth is of secondary importance.
- ❖ the American economy does approach the neoclassical model of a competitive market economy in which individuals are assumed to maximize their own private interests (utility), and business corporations are expected to maximize profits.

- ❑ the American economy is characterized as a system of managerial capitalism.
- ❑ Put differently, the economy was profoundly transformed by the late 19th C emergence of huge corporations and the accompanying shift from a proprietary capitalism to one dominated by large, oligopolistic corporations
- ❑ Oligopoly implies small number of sellers controlling market
- ❑ with the New Deal of the 1930s, the power balance shifted away from big business and the neoclassical laissez-faire ideal was weakened by the notion that the federal government had a responsibility to promote economic equity and social welfare.

- ❑ The economic ideal of a self-regulating economy was further undermined by passage of the Full Employment Act of the idea that the federal government has a responsibility to maintain full employment
- ❑ Although the federal government retains responsibility for full employment and social welfare, a significant retreat from this commitment began with the 1980 election of Ronald Reagan as President of the United States and the achievement of a more conservative economic ideology emphasizing free and unregulated markets.
- ❑ Whereas consumer advocates want a strong role for the government in the economy to protect the consumer, American economists and many others strongly opposed this government intervention unless there is market failures.

3.3.2. The Japanese System of Developmental Capitalism

- ❑ At the end of WWII, Japan focused on making the economy self-sufficient and advancement of technology in order to catching up with the West
- ❑ In the pre-WW II years, this ambition meant building a strong army and becoming an industrial power.
- ❑ Since its disastrous defeat in World War II, however, Japan has abandoned militarism and has focused on becoming a powerful industrial and technological nation
- ❑ the national economic policy for Japan is characterized as neo-mercantilism; it involves state assistance, regulation, and protection of specific industrial sectors in order to increase their international competitiveness

- ❑ Many terms have been used to characterize the distinctive nature of the Japanese system of political economy: developmental state capitalism, collective capitalism, welfare corporatism, competitive communism, network capitalism and strategic capitalism.
- ❑ Each of these labels connotes particularly important elements of the Japanese economic system, such as its overwhelming emphasis on economic development, the key role of large corporations in the organization of the economy and society, primacy of the producer over the consumer, and the close cooperation among government, business, and labor.
- ❑ Yet, the term “developmental state capitalism” best captures the essence of the system, because this characterization conveys the idea that the state must play a central role in national economic development and in the competition with the West

- ❑ the goal of catching up with the West was strongly worked on.
- ❑ To this end, the state assumed central role in the economy and specifically the elite pursued rapid industrialization through a strategy employing trade protection, export-led growth, and other policies.
- ❑ The Japanese people have also supported this extensive interventionist role of the state and believe that the state has a legitimate and important economic function in promoting economic growth and international competitiveness.
- ❑ The government bureaucracy and the private sector, with the former frequently taking the lead, have consistently worked together for the collective good of Japanese society.

- ❑ Industrial policy has been the most remarkable aspect of the Japanese system of political economy.
- ❑ In the early postwar decades, the Japanese provided government support for favored industries, especially for high-tech industries, through trade protection, generous subsidies, and other means.
- ❑ Through subsidies, provision of low-cost financing, and especially administrative guidance by bureaucrats, the Japanese state plays a major role in the economy.
- ❑ In this regard the Japanese state's extensive use of what is known as the “infant industry” protection system deserves special attention.

- ❑ Japanese industrial policy was most successful in the early postwar years when Japan was rebuilding its war-torn economy.
- ❑ However, as Japan closed the technology gap with the West and its firms became more powerful in their own right, Japan's industrial policy became considerably less significant in the development of the economy.
- ❑ Yet the population and the government continued to believe that the state should play a central role in the continuing industrial evolution of the economy.

3.3.3. The German System of Social Market Capitalism

- ❑ The German economy has some characteristics similar to the American and some to the Japanese systems of political economy, but it is quite different from both in other ways.
- ❑ On the one hand, Germany, like Japan, emphasizes exports and national savings and investment more than consumption.
- ❑ However, Germany permits the market to function with considerable freedom; indeed, most states in Western Europe are significantly less interventionist than Japan.

- ❑ The German system of political economy attempts to balance social concerns and market efficiency.
- ❑ The German state and the private sector provide a highly developed system of social welfare.
- ❑ The German national system of political economy is representative of the “corporatist” or “welfare state capitalism” in which capital, organized labor, and government cooperate in management of the economy.
- ❑ Although the continental economies differ from one another in many respects, in all of them the state plays a strategic role in the economy.

- ❑ To the success of economy state created a stable and favorable environment for private enterprise.
- ❑ Their laws and regulations have successfully encouraged a high savings rate, rapid capital accumulation, and economic growth.
- ❑ At the core of the German system of political economy is their central bank, or Bundesbank
- ❑ the Bundesbank did create the stable macroeconomic environment and low interest rates that have provided vital support to the postwar competitive success of German industry

- ❑ On the other hand, the role of the German state in the microeconomic aspects of the economy has been modest.
- ❑ The Germans, for example, have not had an activist industrial policy although, like other advanced industrial countries, the government has spent heavily on research and development. The German government has not also intervened significantly in the economy to shape its structure except in the support it has given through subsidies and protection to such dying industries as coal and shipbuilding and the state-owned businesses such as Lufthansa and the Bundespost (mail and telecommunications).
- ❑ On the whole, the German political economy system is thus closer to the American market-oriented system

3.3.4. Differences among National Political Economy Systems

- ❑ While national systems of political economy differ from one another in many important respects, differences in the following areas are worthy of particular attention:
 - (1) the primary purposes of the economic activity of the nation,
 - (2) the role of the state in the economy, and
 - (3) the structure of the corporate sector and private business practices.
- ❑ Although every modern economy must promote the welfare of its citizens, different societies vary in the emphasis given to particular objectives; those objectives, which range from promoting consumer welfare to pursuit of national power, strongly influence and are influenced by such other features of a national economy as the role of the state in the economy and the structure of that economy.

- ❑ As for the role of the state in the economy, market economies include the generally laissez-faire, noninterventionist stance of the United States as well as the Japanese state's central role in the overall management of the economy.
- ❑ And the mechanisms of corporate governance and private business practices also differ; the relatively fragmented American business structure and the Japanese system of tightly integrated industrial groupings contrast dramatically with one another.

- ❑ The purpose of economic activity in a particular country largely determines the role of the state in that economy.
- ❑ In those liberal societies where the welfare of the consumer and the autonomy of the market are emphasized, the role of the state tends to be minimal.
- ❑ On the other hand, in those societies where more communal or collective purposes prevail, the role of the state is interventionist in the economy.
- ❑ The system of corporate governance and private business practices constitutes another important component of a national political economy.

- ❑ American, German, and Japanese corporations have differing systems of corporate governance, and they organize their economic activities (production, marketing, etc.) in varying ways.
- ❑ For example, whereas shareholders have an important role in the governance of American business, banks have played a more important role in both Japan and Germany.
- ❑ In addition, whereas the largest American firms frequently invest and produce abroad, Japanese firms prefer to invest and produce at home.
- ❑ The policies of each government have also shaped the nature of business enterprise through regulatory, industrial, and other policies

3.4. Core Issues, Governing institutions and Governance of International Political Economy

3.4.1. International Trade and the WTO

- ❑ trade involves the exchange of money for goods and services.
- ❑ This type of trade can take place entirely within a domestic economy or internationally.
- ❑ But there are a number of critical distinctions between domestic and cross-border trade.
 - ❑ cross-border trade the exchange of goods and services is mediated by at least two different national governments

- ❑ To the liberal economists, cross-border trade is beneficial, both for individual national economies and for the world as a whole.
- ❑ But even in the general public (especially in wealthy capitalist economies), most people acknowledge that the antithesis of trade—namely, autarky (i.e., a policy premised on complete economic independence or self-sufficiency)—is essentially impossible and self-defeating in the industrial and post-industrial eras.
- ❑ But, there is unfair trade relationship between developed and developing countries.
- ❑ As a result, it is common to observe in the world disputes and frequently serious tensions over trade.

How is international trade governed?

- ❑ institutions like World Trade Organization (WTO) and North American Free Trade Agreement (NAFTA) or similar other organizations regulate international trade
- ❑ How does this work? In the case of NAFTA- a trade agreement among the U.S., Canada, and Mexico- for example, “free trade” was initially meant a lesser degree of governmental constraints in cross-border trade, but not an elimination of government action.
- ❑ the notion of free trade in NAFTA had and still have significant element of protectionist /mercantilist policies such as a tax on specific imported goods (tariff), prohibiting their importation (import ban), or imposing a quantitative restriction (import quota).

- ❑ The World Trade Organization (WTO) is an international organization which sets the rules for global trade.
- ❑ This organization was set up in 1995 as the successor to the General Agreement on Trade and Tariffs (GATT) created after the Second World War.
- ❑ It has about 150 members.
- ❑ All decisions are taken unanimously but the major economic powers such as the US, EU and Japan have managed to use the WTO to frame rules of trade to advance their own interests.
- ❑ The developing countries often complain of non-transparent procedures and being pushed around by big powers.

3.4.2. International Investment and the WB

- ❑ The World Bank was created immediately after the Second World War in 1945.
- ❑ Its activities are focused on the developing countries.
- ❑ It works for human development (education, health), agriculture and rural development (irrigation, rural services), environmental protection infrastructure and governance (anti-corruption, development of legal institutions).
- ❑ It provides loans and grants to the member-countries
- ❑ It is often criticized for setting the economic agenda of the poorer nations, attaching strict conditions to its loans and forcing free market reforms

3.4.3. International Finance and the IMF

- ❑ The International Monetary Fund (IMF) is an international organization that oversees those financial institutions and regulations that act at the international level.
- ❑ The IMF has 184 member countries, but they do not enjoy an equal say.
- ❑ The top ten countries have 55% of the votes. They are the G-8 members (the US, Japan, Germany, France, the UK, Italy, Canada and Russia), Saudi Arabia and China.
- ❑ The US alone has 17.4% voting rights.

- ❑ The global financial system is divided into two: **a monetary system and a credit system.**
- ❑ The international monetary system can be defined as the relationship between and among national currencies.
- ❑ More concretely, it revolves around the question of how the exchange rate among different national currencies is determined.
- ❑ The credit system, on the other hand, refers to the framework of rules, agreements, institutions, and practices that facilitate the transnational flow of financial capital for the purposes of investment and trade financing.
- ❑ for a deeper understanding, let us separately discuss the main components of the monetary and credit systems.

3.5. Exchange Rates and the Exchange-Rate System

- ❑ An exchange rate is the price of one national currency in terms of another.
- ❑ For example, according to July 2013 rate, one U.S. dollar (\$1) was worth 98.1 Japanese yen (¥), while one British pound (£) was worth 1.54 U.S. dollars.
- ❑ Yet, in August 1998, one U.S. dollar was worth 145.8 yen. Compared to the rate in July 2013, the difference is then almost 50 percent.
- ❑ This implies that in August 1998, the yen was substantially “weaker”.
- ❑ There are two main exchange rate systems in the world namely: fixed exchange rate and floating exchange rate.

- ❑ In a pure floating-rate system, the value of a currency is determined solely by money supply and money demand.
- ❑ In other words, this system exists only when there is absolutely no intervention by governments or other actors capable of influencing exchange-rate values through nonmarket means.
- ❑ A pure fixed-rate system, on the other hand, is one in which the value of a particular currency is fixed against the value of another single currency or against a basket of currencies.

- ❑ The question thus remains: How is the global financial system governed? The creation of IMF provided the answer for this question.
- ❑ The IMF, which was set up as an supposedly neutral international financial institution, was designed to clearly represent U.S. interests and the interests of the other major developed countries while governing the global financial system.
- ❑ This can be seen, more concretely, from the way decision-making power within the IMF was designed-i.e. voting power is determined by what the IMF calls a quota.
- ❑ A quota (or capital subscription) is the amount of money that a member country pays to the IMF.
- ❑ Accordingly, the more a country pays, the more say it has in IMF decision makings.
- ❑ And, it is the US that tops up in this regard.

Chapter Four: Globalization and Regionalism

- the world becomes one, and interactions among diverse people begin to look like those within a village.
- Thus terms such as “One World” homogenization and “Villagization” are sometimes used as synonyms for globalization.
- In its contemporary form, globalization is driven by a variety of forces.
- These are flow of financial resources(electronic money), the flow of goods and services, labor, technology, especially transport, communications and information technology(we all watch the same television programmes), the spread of culture from one corner of the world to the other, and the global diffusion of religious ideas as well as ideologies.

4.1. Defining Globalization

□ Globalization can be defined as a multidimensional process characterized by:

(1) the stretching of social and political activities across state frontiers

□ For instance wars and conflicts in developing countries would increase the flow of asylum seekers and illegal migrants into the developed countries;

(2) the intensification or the growing magnitude of interconnectedness in almost every aspect of social existence from the economic to the ecological, the spread of HIV-AIDS, from the intensification of world trade to the spread of different weapons;

(3) the accelerating pace of global interactions and process as the evolution of worldwide systems of transport and communication increases the rapidity of ideas, news, goods, information, capital and technology move around the world;

4.2. The Globalization Debates

- ❑ Globalization is a contentious issue in international relations.
- ❑ There has been intense debate as to the direction, nature and effect of globalization on states.
- ❑ In this regard, there are three perspectives:
 - A. the hyper-globalists,
 - B. the skeptics, and
 - C. transformationalists

4.2.1. The Hyper-globalists

- ❑ nation states become obsolete to regulate their economy and boundary

- This view of globalization privileges the economic over the political, the market over the state, and suggests the decline of states.
- the authority and legitimacy of states is undermined as the national governments become increasingly unable to control the Trans boundary movements and flows of goods, services, ideas and different socio-economic activities inside their borders
- economic globalization is generating a new pattern of losers as well as winners in the international economy

4.2.2. The Skeptics

- rejects the view of super- globalist as a myth, flawed and politically naïve since it fundamentally underestimate the enormous power of national governments to regulate international economic activities.
- States are central actors and agents of globalization playing central role in shaping and regulating the economic activities including the Trans-boundary flows of ideas, goods and peoples.
- undermine the view that the world is interconnected and moving into a village where by there exists a free flow of goods and services, investment and circulation of money from one corner of the world in to another.

- ❑ For that matter, Skeptics argues that there is no free flow of goods, resources, technology and finance at the global level; instead we have regional based globalization
- ❑ In this regard, it has become evident that the Western region is more intergraded and globalized than the other part of the world such as Africa and Asia.
- ❑ The Skeptics thus do not believe that globalization would help to narrow the economic and technological gap that is still prevailing between the Global North(developed Countries) and The Global South(Developing countries).

4.2.3. The Transformationalist

- ❑ they reject both the hyper globalist view of the end of the sovereign state as well as the Skeptics claim that nothing much has changed.
- ❑ Instead they assert that a new sovereignty regime is displacing traditional conception of state power as an absolute, indivisible, territorially exclusive power.
- ❑ Under globalization, there are non-state actors such as MNCs, transnational social movements, international regulatory agencies.

- ❑ In this sense world order can no longer be conceived as purely State-Centric or even primarily state managed as authority has become increasingly diffused amongst public and private agencies at the local, national, regional and at global levels
- ❑ This does not mean that the power of national government is necessarily diminished but on the contrary it is being redefined, reconstituted and restructured in response to the growing complexity of process of governance in a more interconnected world.

- Globalization has therefore increasingly taken the appearance of the transformation of the international system from a multi-polar or bipolar system to an imperial system under American hegemony.
- Within this system, decisions and outcomes are largely the result of American unilateralism.
- A major consequence of this is the propagation of a universal paradigm for both economic and political development, in the form of the so-called Washington Consensus, whose main features are market forces and liberal democracy, without regard to the historical and cultural specificities of individual countries

- In sum, globalization seems to be leading to the homogenization of the world, with the United States as the model and the standard by which all other countries are to be judged
- In the case of Africa, its position in the international system has been considerably weakened by the fact that it has been losing the race for economic development in general, and human development in particular, to other regions.
- This poor performance by African countries accounts in part for the political and social instability and the rise of authoritarian regimes that have characterized much of postcolonial Africa further weakening the ability of African countries to deal effectively with globalization

- Specific impacts of globalization on Africa can be identified.
- In the political sphere, the most important consequence is the erosion of sovereignty, especially on economic and financial matters, as a result of the imposition of models, strategies and policies of development on African countries by the IMF, the WB and the WTO.
- African governments are unable to determine and control events in their countries, and thus their accountability and responsiveness to their people, given the fact that the context, institutions and processes by which these decisions are taken are far from democratic.

- ❑ One major positive impact of globalization on Africa is that it has made available information on how other countries are governed and the freedoms and rights their people enjoy.
- ❑ Economically, globalization has reinforced the economic marginalization of African economies and their dependence on a few primary goods for which demand and prices are externally determined
- ❑ This has, in turn, brought out poverty and economic inequality

- ❑ Economic and social stagnation has also triggered a substantial brain-drain from Africa,
- ❑ As a result of the cultural domination from outside that goes with globalization, African countries are rapidly losing their cultural identity and therefore their ability to interact with other cultures on an equal and autonomous basis

4.3. Pros and Cons of Globalization

- Globalization has its merits and demerits.
- Among the leading merits of globalization are the expansion of democratic culture, human right and the protection of historically minority and subaltern groups.
- Innovation in science, medicine, and technology and information communication has enabled the improvement of quality of life.
- Agricultural technological expansion resulted in the lifting out of millions of people out of poverty.
- The technological and social revolution significantly contributed to advancement of human security and safety.

- Moreover, the free movement of good, service, people, ideas, skill, knowledge and technology across national borders strengthened international interdependence.
- . However, globalization is not also without its demerits.
- Global capital and international financial institutions like WB and IMF made free inroads into countries of the south influencing the economic and political dynamics negatively.
- With technological advancement, climatic, environmental and technological risks have multiplied.
- Globalization, in the sense of connectivity to the global economic and cultural life, threatening the continuity of non-Western traditions, way of life and cultural values

- Besides, the globalization has made the globalization of risks, threats and vulnerabilities like global terrorism, religious fundamentalism, proliferation of Small Arms and Light Weapons (SALWs), arms and human trafficking.
- Moreover, globalization has stimulated the emergence of simultaneous but opposite process of Glocalization, which involves a process of integration to the world and differentiation to the local.
- This process has contributed to the rise of radical nationalism and ethnicity, which set the context for the emergence of the era of identity and identity conflicts.
- In general, without denying the opportunities of globalization, countries of the global south have faced multidimensional economic, political, socio-cultural, security and military challenges induced by globalization.

4.4. Regionalism and Regional Integration

- ❑ Region can be defined as a limited number of states linked together by a geographical relationship and by a degree of mutual interdependence (Nye, 1968).
- ❑ Regionalism consequently refers to intensifying political and/or economic processes of cooperation among states and other actors in particular geographic region
- ❑ Regionalism normally presents the sustained cooperation (either formal or informal) among governments, non-governmental organizations, or the private sectors in three or more countries for mutual gains

- The occurrences of regionalism have expanded across all parts of the world.
- In contrast, the theories to explain these developments are limited and Eurocentric (Soderbaum 2003).
- Most of the theories have been developed under the dominant European contexts.
- Later, we experienced the successful regional grouping in North America.
- Therefore, this section is an attempt to demonstrate theories that explain the possibilities of the formation of regional grouping as much as possible.

4.4.1. The Old Regionalism

- For many scholars, regionalism, as a voluntary and comprehensive process, is predominantly a post-World War II phenomenon.
- It emerged in Western Europe in the late-1940s, subsequently spreading to the developing world.

A. Regional Integration in Europe and Beyond.

- A series of initiatives were launched, which resulted in the European Coal and Steel Community (ECSC) in 1951.
- The long-term goal was more ambitious, and in 1958 the European Economic Community (EEC) and the European Atomic Energy Community (EAEC) were integrated into the EC

B. Regional Integration in Africa

- ❑ In sharp contrast to the European debate, which focused heavily on regional integration, the keywords here were development, state-promoted industrialization and nation-building, first and foremost through protectionism and import-substitution.
- ❑ the rationale of regional cooperation and integration among LDCs was not to be found in marginal economic change within the existing structure, but rather, through the fostering of 'structural transformation' and the stimulation of productive capacities (industrialization), whereby investment and trading opportunities were being created

- .

- ❑ The structuralist school thus shifted its focus away from economic integration as means for peace and political unification, to one of regional economic cooperation/integration as means for economic development and state-formation.
- ❑ This type of regionalism resulted in the creation of the Latin American Free Trade Association (LAFTA) in Montevideo in 1960.
- LAFTA was a comprehensive and continental project and included all countries on the South American continent plus Mexico.

- Regionalization in Latin America during 1960s and 1970s did not materialized because of conflict and military dictatorship
- The major purpose of regionalization in Africa was to resist colonial and post-colonial influence, protectionism and realizing import substitution.
- Among the various state led regional organizations in Africa were the CFA (Community of French Africa), East African Community (EAC), SACU (Southern African Community Union), (The Southern Africa Development Coordination SADC

4.4.2. New Regionalism

- The prospects of the fall of the Berlin Wall and the Single European Act resulted in a new dynamic process of European integration.
- This was also the start of what has often been referred to as ‘new regionalism’ on a global scale.
- The new regionalism referred to a number of new trends and developments, such as the spectacular increase in the number of regional trade agreements, an externally oriented and less protectionist type of regionalism, an anti-hegemonic type of regionalism which emerged from within the regions themselves instead of being controlled by the superpowers, the rise of a more multi-dimensional and pluralistic type of regionalism, which was not primarily centered around trading schemes or security cooperation and with a more varied institutional design, and the increasing importance of a range of business and civil society actors in regionalization

Chapter Five

Major Contemporary Global Issues

Survey of Major Contemporary Global Issues

- What makes an issue a global issue?
- The answer to this question is found in addressing the following four interlinked questions. These are:
 - i. What is the extent or scope of an issue? Does it affect large parts of the global arena or it is confined and contained to a narrow scope? How far are they likely to spill over into the broader arena, and thus become of concern to a wide variety of actors?
 - ii. What is the urgency or intensity of the issue? This, of course, is a rather subjective question, since it relates to the general question of significant to whom? For instance, on the issue of global environmental change, it is quite clear that such an issue has different levels of urgency for different political actors, who will as a result give it different degrees of priority, attention and resources,
 - iii. What is the salience or visibility of a given issue? This question relates to the roles of the media or other actors who confer urgency or intensity, and
 - iv. What is the centrality or location of an issue? This is partly an objective issue of geography, implying that the closer the issue is to important actors the greater the attention and significance it will acquire.
- The subsequent discussion is thus about different issues that fall in a cluster of four major contemporary global issues selected based these criteria.

Global Security Issues

- In the security arena, there are two main issues and challenges facing the emerging new world order.
 - ✓ These are: terrorism and nuclear proliferation.
- **Global Terrorism**
 - ✓ The question: who gets to define terrorism and why? often complicates the task of defining terrorism
 - ✓ Indeed, the saying ‘some one’s terrorist is another’s freedom fighter’ is often presented as a justification for the general acceptance of war as a legitimate instrument of even governments
 - ✓ This does not, however, prevented scholars from attempting to provide operational/working definition for the term
 - ✓ Terrorism is defined by many as a global security problem characterized by the use of violence in the form of hostage taking, bombing, hijacking and other indiscriminate attacks on civilian targets

Global Security Issues

- In this sense, the world is thus today experiencing four different types of terrorist organizations namely: left wing terrorists, right wing terrorists, ethno-nationalists/separatist terrorists and religious terrorists
- Global communication and transport physical technologies helped the terrorists develop capacity to conduct attacks across the globe
- However, terrorists have not yet acquired and used radiological, biological or chemical weapons so far
- Experts believe that the reason for this is probably that the terrorists understand such weapons would lead to the likelihood that a state or the international community would focus its efforts on hunting them down, and eradicate them
- In any case, terrorism continues to pose a major challenge to our globe in the 21st century

Factors Conducive to Terrorism:

- Terrorism might have many causes. Yet, the followings are among the most widely perceived ones:
 - ✓ Socio-economic cause (poverty in the sense of economic and political isolation, feelings of hopelessness, violations of human rights, and the lack of democracy provides a fertile breeding ground for terrorism);
 - ✓ Political cause (legitimate grievances and the failure of governments to adequately address these problems often foment terrorism
 - ✓ Moreover, the lack of democracy, and widespread and systematic violations of human rights contributes to the rise of terrorism) and psychological cause (humiliation is another factor conducive to the use of terrorism)

Types of Terrorism

- Although the types of terrorism tend to overlap, they vary in their implications and the different ways they affect us.
 - ✓ For example, the indiscriminate nature of global terrorism contrasts sharply with domestic terrorism which usually aims at specific groups or governments
- Put broadly, however, the following five are the most commonly observed types of terrorism.
- **Domestic terrorism:** Occurs within the borders of a particular country and is associated with extremist groups.
- **Nationalist terrorism:** is closely associated with struggles for political autonomy and independence.
- **Religious terrorism:** grows out of extreme fundamentalist religious groups that believe that God is on their side and that their violence is divinely inspired and approved.
- **State terrorism:** is a cold, calculated, efficient, and extremely destructive form of terrorism, partly because of the overwhelming power at the disposal of governments.
- **Global terrorism:** is partly an outgrowth of the forces of globalization, which enable the different kinds of terrorism to spread worldwide.

Nuclear Weapons and Their Proliferations

- Fear of nuclear war dominated security planning during the cold war, and enhanced security was sought through arms control agreement between the two super powers
- The end of the cold war has led to a decrease in concern about the dangers of nuclear war between the super powers
- This is paradoxical because the majority of nuclear weapons that were perceived to cause the problem still exist
- Because of the benign relationship between the US and Russia there is less inclination to invest in destroying their nuclear arsenals.
- The new arms control' treaty is seen by US policy makers as having largely solved the problem
- This means that those interested in arms control and disarmament are having a hard time convincing governments and publics that the existing nuclear arsenals are an issue that need to be tackled

Nuclear Weapons... Cont'd

- The end of the cold war has not diminished the significance attached to nuclear weapons, as many had hoped.
- Indeed, the incentives for states to acquire nuclear weapons would appear to have increased in the post-cold war period.
- Four comments are relevant here.
 1. The fact that nuclear weapons states have substantially maintained their nuclear arsenals shows that they consider that nuclear weapons play some positive role in providing security.
 2. There are now greater incentives to acquire nuclear weapons for those non-nuclear states who have lost the guarantee of extended deterrence previously provided by super powers.
 3. The combination of the loss of extended deterrence with regional dynamics appears to have increased the incentives to proliferate. For example, Pakistan now perceives itself to be vulnerable to attacks from India because the United States has scaled back its support for.
 4. Fourth, the contrasting experiences of Iraq and North Korea suggest strong incentives to proliferate fast and establish deterrence. The 2003 US-led invasion of Iraq was explicitly justified in terms of Iraqi nuclear, chemical and biological weapons capabilities

Reasons for the Proliferation of Weapons

- There are strategic, economic, and political motivations for weapons proliferation. These include:
- **Super-power Rivalry during the Cold War:** Geopolitical considerations influenced the United States and the Soviet Union to transfer weapons to their respective allies.
 - ✓ For example, both the North Atlantic Treaty Organization (NATO) and the Warsaw Pact justified the proliferation of weapons in terms of collective self-defense
- **Military Burden Sharing:** Reluctant to engage in direct military confrontation, both superpowers provided weapons, technical assistance, and arms production technologies to their allies so that they could defend themselves
 - ✓ An example of this was the Nixon Doctrine, which supported weapons transfers to Japan, South Korea, Taiwan, and other Asian countries.
- **Regional Balance of Power:** Arms sales are often defended on the grounds that such transfers contribute to regional stability and diminish the likelihood of war.

Reasons for ... Cont'd

- **Political, Military, and Economic Influence:** Given the dependence of the United States on petroleum supplies from the Middle East in general and Saudi Arabia in particular, arms transfers are instrumental not only in bolstering these countries' security but also in enabling the United States to gain and maintain access to these countries' political, military, and economic elites
- **Economies of Scale:** Many countries export weapons to obtain resources to finance the development and production of more advanced weapons.
- **Self-Reliance:** Many countries develop their own weapons to preserve or enhance their independence.
- **Economic Factors:** Much of the global weapons trade is motivated by financial considerations.
- **Ethnic Conflicts:** Ethnic conflicts generate demand for weapons transfers. **Authoritarian Regimes:** Governments that rule without the consent of the people generally rely on military force to exercise control.

Global Environmental Issues

- The environment is gradually becoming one of the most pressing issues of twenty-first century
- It has been recognized that many, if not all, problems of environmental degradation are trans boundary in nature and therefore need an international solution
- National policy measures essentially cannot cope with international environmental problems because the source of pollution or the impact of pollution may not be within a particular state's jurisdiction.
- Traditionally, international environmental problems have been addressed at international environmental conferences where treaties are designed that commit the signatories to controlling the problem in question

Global Environmental Issues

- Since the 1970s the number of international environmental agreements (IEAs) has risen to reach record numbers
- There is a loose assumption that this is a good thing and that this rise has resulted in a commensurable improvement in environmental protection
- But is this actually the case? In fact, many would argue that there is little positive correlation at all
- Within such context, the subsequent section discusses one of the most pressing contemporary global issue related to the environment, i.e., climate change and global warming.

Climate change and Global warming

- Climate change poses numerous and harsh challenges for sustainable development and its effects are felt in all regions of the globe, although the intensity of exposure varies
 - ✓ Degree of vulnerability varies even more with developing countries and the poor which have contributed the least to global warming but are suffering the most.
 - ✓ This being the case, however, as the eighteenth session of the Conference of the Parties to the United Nations Framework Convention on Climate Change held in Doha in November and December 2012 also illustrated, global climate change mitigation efforts are insufficient.
 - ✓ In Doha, countries agreed and launched the second commitment period for the Kyoto Protocol that was commenced from 1 January 2013 and will end on 31 December 2020.
 - ✓ However, several countries that had ratified the Kyoto Protocol for its first commitment period withdrew from it and decided not to join the second commitment period. The remaining states parties to the protocol with obligations to reduce greenhouse gas emissions.

Climate change and Global warming

- The greenhouse gas reduction goals set out in the Kyoto Protocol remain largely unachieved
- If the economies in transition are not taken into account, most of the developed countries have failed to achieve their reduction targets.
- Countries that apparently have achieved their targets have often done so mainly through off shoring greenhouse gas-intensive production operations to developing countries
- Meanwhile, since production technologies in developing countries are generally more green-house gas-intensive, off shoring has led to an increase rather than a decrease in the total (global) volume of emissions, thus frustrating the very purpose of the Protocol.
- Although countries agreed to continue the Kyoto Protocol via the second commitment period through 2020, the post-2020 comprehensive regime, which is to be universal and applicable to all countries, is yet to be negotiated and its result yet to be seen.

Global Socio-economic Issues

Global Inequality and Poverty

- Persistent inequality and enduring poverty challenge beliefs in the equality of opportunity and the possibility of upward mobility
- Eventually, the legitimacy of the economic system and political and social institutions are challenged.
- The legitimacy of the global economic system is likely to be strengthened if a larger number of countries and individuals are benefiting from it
- Extreme inequality perpetuates poverty and the concentration of economic and political power and reduces economic efficiency.
- It strengthens inequality-perpetuating institutions in three ways:
 - ✓ Inequality discourages the political participation of poor people, which, in turn, diminishes their access to education, health care, and other services that contribute to economic growth and development
 - ✓ Inequality often prevents the building and proper functioning of impartial institutions and observance of the rule of law
 - ✓ Inequality enables the wealthy to refuse to compromise politically or economically, which further weakens poor societies in a global society that requires relatively fast responses to economic developments.

Global Socio-economic ...Cont'd

- These consequences of inequality combine to ensure that poor societies will remain poor and unequal, trapping most of their inhabitants in a destructive cycle of poverty
- Growing inequality among as well as within nations has direct and indirect implications for globalization
- Inequality could undermine globalization by influencing countries to adopt protectionist policies and disengage, to the extent possible, from the global economy
- But the ramifications extend beyond economic issues to problems such as terrorism, the environment, and the spread of infectious diseases

Migration and refugee problems

- International migration and refugee (including asylum seekers and Internally Displace Peoples) have become more prominent on the international agenda in recent years both because of their increasing scale and growing impact on international affairs
- Several factors account for these developments
 1. The number of states in the international system has steadily increased since the end of the First World War which results in increase in the volume of international migrants and refugee
 2. There has also been a rapid increase in the world's population, and it continues to grow which has led to over exploitation of regional resources, leading on occasions to catastrophic famine and population movement
 3. The revolution in communications and transportation has made people aware of conditions and opportunities in other parts of the world, as well as making travel to those areas easier
 4. The turmoil and uncertainty of the turbulent and unstable world place an important role in motivating people to search abroad for a better life

Global Cultural Issues

Cultural Imperialism

- Cultural imperialism is the result of cultural globalization - a process whereby information, commodities and images that have been produced in one part of the world enter into a global flow that tends to 'flatten out' cultural differences between nations, regions and individuals
- This has sometimes been portrayed as a process of 'McDonaldization'.
 - ✓ McDonaldization is the process whereby global commodities and commercial and marketing practices associated with the fast-food industry have come to dominate more and more economic sectors
- Cultural globalization is fuelled by the so-called information revolution, the spread of satellite communication, telecommunications networks, information technology and internet and global media corporations
- The popular image of globalization is that it is a top-down process, the establishment of a single global system that imprints itself on all parts of the world

Global Cultural Issues ... Cont'd

- In this view, globalization is linked to homogenization as cultural diversity are destroyed in a world in which we all watch the same television programmes, buy the same commodities, eat the same food, support the same sports stars and etc
- Globalization has in some ways fashioned more complex patterns of social and cultural diversity in developing and developed states alike
- In developing states western consumer goods and images have been absorbed into more traditional cultural practices through a process of indigenization
- Indigenization is the process through which alien goods and practices are absorbed by being adapted to local needs and circumstances

Cultural (civilizational) clash and identity conflicts

- Culture and nationalism have generally been closely intertwined
- By understanding this, leaders usually draw upon cultural similarities to diminish tensions and, conversely, upon cultural differences and hatreds to promote conflict
- And, given that all societies, directly or indirectly, promote their values as positive and desirable while, simultaneously, devaluing those of other societies, ethnocentrism as a behavior is likely to develop
- That is to say that each society may view itself as the center of the world and perceive and interpret other societies within its peculiar frame of reference, and invariably judges them to be inferior
- The more culturally distinct the other society is perceived to be, the more inferior it is often deemed to be and thus suitable for negative treatment.

Cultural (civilizational) ... Cont'd

- This perception is at the heart of ethnic conflicts and international wars
- In line with this logic, the famous political scientist S.P. Huntington has also developed what he calls ‘clash-of-civilizations thesis’ which explains contemporary global conflicts in terms of cultural differences
- For Huntington, civilizations will be the dividing lines in future global politics and it is the clash of these civilizations that would primarily define the feature of 21st century global order
- Huntington argues that there are eight major civilizations in this game namely: Western, Confucian, Japanese, Islamic, Hindu, Slavic-Orthodox, Latin American, and African
- The clash-of-civilizations theory thus stresses that there exists and will continue to exist conflict instead of cooperation among civilizations

Globalization and Regionalism

Defining Globalization

- Globalization can be defined as a multidimensional process characterized by:
 - 1) The stretching of social and political activities across state frontiers
 - ✓ For instance wars and conflicts in developing countries would increase the flow of asylum seekers and illegal migrants in to the developed countries;
 - 2) The intensification or the growing magnitude of interconnectedness in almost every aspect of social existence from the economic to the ecological, the spread of HIV-AIDS, from the intensification of world trade to the spread of different weapons;
 - 3) The accelerating pace of global interactions and process as the evolution of worldwide systems of transport and communication increases the rapidity of ideas, news, goods, information, capital and technology move around the world;

The Globalization Debates

- Globalization is a contentious issue in international relations.
- There has been intense debate as to the direction, nature and effect of globalization on states.
- In this regard, there are three perspectives:
 - A. The hyper-globalists,
 - B. The skeptics, and
 - C. Transformationalists

The Globalization ... Cont'd

A. The Hyper-globalists

- ✓ Nation states become obsolete to regulate their economy and boundary
- ✓ This view of globalization privileges the economic over the political, the market over the state, and suggests the decline of states
- ✓ The authority and legitimacy of states is undermined as the national governments become increasingly unable to control the Trans boundary movements and flows of goods, services, ideas and different socio-economic activities inside their borders
- ✓ Economic globalization is generating a new pattern of losers as well as winners in the international economy

The Globalization ... Cont'd

B. The Skeptics

- ✓ Rejects the view of super- globalist as a myth, flawed and politically naïve since it fundamentally underestimate the enormous power of national governments to regulate international economic activities
- ✓ **States are central actors and agents of globalization** playing central role in shaping and regulating the economic activities including the Trans-boundary flows of ideas, goods and peoples
- ✓ Undermine the view that the world is interconnected and moving into a village where by there exists a free flow of goods and services, investment and circulation of money from one corner of the world in to another

The Globalization ... Cont'd

- ✓ For that matter, Skeptics argues that there is no free flow of goods, resources, technology and finance at the global level; instead we have regional based globalization
- ✓ In this regard, it has become evident that the Western region is more intergraded and globalized than the other part of the world such as Africa and Asia.
- ✓ The Skeptics thus do not believe that globalization would help to narrow the economic and technological gap that is still prevailing between the Global North (developed Countries) and The Global South (Developing countries).

The Globalization ... Cont'd

C. The Transformationalist

- ✓ They reject both the hyper globalist view of the end of the sovereign state as well as the Skeptics claim that nothing much has changed.
- ✓ Instead they assert that a new sovereignty regime is displacing traditional conception of state power as an absolute, indivisible, territorially exclusive power.
- ✓ Under globalization, there are non-state actors such as MNCs, transnational social movements, international regulatory agencies.
- ✓ In this sense world order can no longer be conceived as purely State-Centric or even primarily state managed as authority has become increasingly diffused amongst public and private agencies at the local, national, regional and at global levels
- ✓ This does not mean that the power of national government is necessarily diminished but on the contrary it is being **redefined, reconstituted and restructured** in response to the growing complexity of process of governance in a more interconnected world.

The Globalization ... Cont'd

- ✓ In sum, globalization seems to be leading to the homogenization of the world, with the United States as the model and the standard by which all other countries are to be judged
- ✓ In the case of Africa, its position in the international system has been considerably weakened by the fact that it has been losing the race for economic development in general, and human development in particular, to other regions.
- ✓ This poor performance by African countries accounts in part for the political and social instability and the rise of authoritarian regimes that have characterized much of postcolonial Africa further weakening the ability of African countries to deal effectively with globalization

The Globalization ... Cont'd

- ✓ Specific impacts of globalization on Africa can be identified.
- ✓ In the political sphere, the most important consequence is the erosion of sovereignty, especially on economic and financial matters, as a result of the imposition of models, strategies and policies of development on African countries by the IMF, the WB and the WTO.
- ✓ African governments are unable to determine and control events in their countries, and thus their accountability and responsiveness to their people, given the fact that the context, institutions and processes by which these decisions are taken are far from democratic.

The Globalization ... Cont'd

- ✓ One major positive impact of globalization on Africa is that it has made available information on how other countries are governed and the freedoms and rights their people enjoy
- ✓ Economically, globalization has reinforced the economic marginalization of African economies and their dependence on a few primary goods for which demand and prices are externally determined
- ✓ This has, in turn, brought out poverty and economic inequality
- ✓ Economic and social stagnation has also triggered a substantial brain-drain from Africa,
- ✓ As a result of the cultural domination from outside that goes with globalization, African countries are rapidly losing their cultural identity and therefore their ability to interact with other cultures on an equal and autonomous basis

Pros and Cons of Globalization

Merits of Globalization

- The expansion of democratic culture, human right and the protection of historically minority and subaltern groups
- Innovation in science, medicine, and technology and information communication has enabled the improvement of quality of life
- Agricultural technological expansion resulted in the lifting out of millions of people out of poverty
- The technological and social revolution significantly contributed to advancement of human security and safety
- Moreover, the free movement of good, service, people, ideas, skill, knowledge and technology across national borders strengthened international interdependence

Pros and Cons ... Cont'd

Demerits of globalization

- Global capital and international financial institutions like WB and IMF made free inroads into countries of the south influencing the economic and political dynamics negatively
- With technological advancement, climatic, environmental and technological risks have multiplied
- Globalization, in the sense of connectivity to the global economic and cultural life, threatening the continuity of non-Western traditions, way of life and cultural values
- Besides, the globalization has made the globalization of risks, threats and vulnerabilities like global terrorism, religious fundamentalism, proliferation of Small Arms and Light Weapons (SALWs), arms and human trafficking

Pros and Cons ... Cont'd

- Moreover, globalization has stimulated the emergence of simultaneous but opposite process of Glocalization, which involves a process of integration to the world and differentiation to the local.
- This process has contributed to the rise of radical nationalism and ethnicity, which set the context for the emergence of the era of identity and identity conflicts
- In general, without denying the opportunities of globalization, countries of the global south have faced multidimensional economic, political, socio-cultural, security and military challenges induced by globalization

Regionalism and Regional Integration

- Region can be defined as a limited number of states linked together by a geographical relationship and by a degree of mutual interdependence (Nye, 1968).
- Regionalism consequently refers to intensifying political and/or economic processes of cooperation among states and other actors in particular geographic region
- Regionalism normally presents the sustained cooperation (either formal or informal) among governments, non-governmental organizations, or the private sectors in three or more countries for mutual gains

Regionalism ... Cont'd

- The occurrences of regionalism have expanded across all parts of the world.
- In contrast, the theories to explain these developments are limited and Eurocentric (Soderbaum 2003).
 - ✓ Most of the theories have been developed under the dominant European contexts.
 - ✓ Later, we experienced the successful regional grouping in North America
- Therefore, this section is an attempt to demonstrate theories that explain the possibilities of the formation of regional grouping as much as possible.

The Old Regionalism

- For many scholars, regionalism, as a voluntary and comprehensive process, is predominantly a post-World War II phenomenon
- It emerged in Western Europe in the late-1940s, subsequently spreading to the developing world

A. Regional Integration in Europe and Beyond

- ✓ A series of initiatives were launched, which resulted in the European Coal and Steel Community (ECSC) in 1951.
- ✓ The long-term goal was more ambitious, and in 1958 the European Economic Community (EEC) and the European Atomic Energy Community (EAEC) were integrated into the EC

The Old Regionalism

B. Regional Integration in Africa

- In sharp contrast to the European debate, which focused heavily on regional integration, the keywords here were development, state-promoted industrialization and nation-building, first and foremost through protectionism and import-substitution
- The rationale of regional cooperation and integration among LDCs was not to be found in marginal economic change within the existing structure, but rather, through the fostering of ‘structural transformation’ and the stimulation of productive capacities (industrialization), whereby investment and trading opportunities were being created

The Old Regionalism ... Cont'd

- The structuralism school thus shifted its focus away from economic integration as means for peace and political unification, to one of regional economic cooperation/integration as means for economic development and state-formation
- This type of regionalism resulted in the creation of the Latin American Free Trade Association (LAFTA) in Montevideo in 1960
 - ✓ LAFTA was a comprehensive and continental project and included all countries on the South American continent plus Mexico

The Old Regionalism ... Cont'd

- Regionalization in Latin America during 1960s and 1970s did not materialized because of conflict and military dictatorship
- The major purpose of regionalization in Africa was to resist colonial and post-colonial influence, protectionism and realizing import substitution
 - ✓ Among the various state led regional organizations in Africa were the CFA (Community of French Africa), East African Community (EAC), SACU (Southern African Community Union), (The Southern Africa Development Coordination SADC

New Regionalism

- The prospects of the fall of the Berlin Wall and the Single European Act resulted in a new dynamic process of European integration
- This was also the start of what has often been referred to as 'new regionalism' on a global scale
- The new regionalism referred to a number of new trends and developments, such as the spectacular increase in the number of regional trade agreements, an externally oriented and less protectionist type of regionalism, an anti-hegemonic type of regionalism which emerged from within the regions themselves instead of being controlled by the superpowers, the rise of a more multi-dimensional and pluralistic type of regionalism, which was not primarily centered around trading schemes or security cooperation and with a more varied institutional design, and the increasing importance of a range of business and civil society actors in regionalization

Thank You!